

Accommodation and Food Services • 72221b

Coffee & Snack Shops in the US

Snack time: The industry is anticipated to continue robust growth, despite environmental concerns



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About

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About This Industry

Definition

This industry comprises operators that prepare or serve specialty snacks and nonalcoholic beverages, including ice cream, frozen yogurt, cookies, donuts, bagels, coffee, juices, smoothies and sodas. Purchases may be consumed on-site, taken to go or delivered.

Codes

NAICS

2022	722515 – Snack and Nonalcoholic Beverage Bars
2017	722515 – Snack and Nonalcoholic Beverage Bars

ISIC

2006	5610 – Restaurants and mobile food service activities
2006	5630 – Beverage serving activities

What's Included

- Bagel shops
- Coffee shops
- Cookie shops
- Cupcake shops
- Donut shops
- Frozen yogurt shops
- Ice cream and soft-serve shops
- Juice and smoothie shops
- Pretzel shops
- Snack shops

Companies

- | | | |
|----------------------|-----------------------|-------------------------|
| • Starbucks | • Cabpresso | • Blue Bottle Coffee |
| • Dutch Bros | • Summer Moon Coffee | • Carvel |
| • Baskin-Robbins | • Kung Fu Tea | • Gong Cha |
| • DiJuice Smoothies | • The White Moustache | • Gasoline Alley Coffee |
| • The Alley | • Slow Boogie's | • Medzo Gelato Bar |
| • Bruster's | • Tiger Sugar Seattle | • Milk + Sugar |
| • Better Buzz Coffee | • Culture Cream | |

Related Industries

Domestic industries

Competitors

- Chain Restaurants in the US
- Fast Food Restaurants in the US
- Specialty Food Stores in the US
- Single Location Full-Service Restaurants in the US
- Street Vendors in the US

Complementors

- Catering Services in the US
- Bars & Nightclubs in the US

International industries

- Cafes, Bars & Other Drinking Establishments in China
- Cafes & Restaurants in New Zealand
- Coffee & Snack Shops in Canada
- Cafes & Coffee Shops in Australia
- Juice & Smoothie Bars in the UK
- Cafes & Coffee Shops in the UK

Related Terms

BABY BOOMERS

The generation of Americans born between 1946 and 1964.

BARISTA

A person who prepares and serves espresso-based coffee drinks.

ESPRESSO

Coffee brewed by forcing a small amount of nearly boiling water under pressure through finely ground coffee beans.

FOOD SERVICE

The practice or business of making, transporting, serving or dispensing prepared foods outside the home.

FRANCHISE

A store that uses a well-known company's business model, including their trademark and goods, for a fee. This is an alternative to chain stores, which share a brand and central management.

POINT OF SALE (POS)

A system used at checkout in retail stores using computers and cash registers to capture transaction data at the time and place of sale.

Additional Resources

- National Coffee Association USA

- National Restaurant Association
- US Bureau of Labor Statistics
- Specialty Coffee Association

At a Glance

Revenue		Employees		Businesses	
\$75.5bn	2021-26 ↑ 2.5%	1.1m	2021-26 ↑ 5.3%	94.3k	2021-26 ↑ 5.7%
	2026-31 ↑ 0.6%		2026-31 ↑ 1.7%		2026-31 ↑ 3.2%
Profit		Profit Margin		Wages	
\$4.2bn	2021-26 ↓ 0.5%	5.6%	2021-26 ↓ 0.9pp	\$23.9bn	2021-26 ↑ 6.0%
					2026-31 ↑ 1.5%

🕒 Five-year growth rates display historic and forecast CAGRs

➔ Major Players

Company	Revenue (\$bn)	Market Share (%)
Starbucks	22.7	30.1
Other Companies	52.8	69.9

🕒 Products & Services

Item	Revenue (\$bn)	Market Share (%)
Beverages consumed in-store	18.3	24.2
Beverages ordered via drive-through	14.3	18.9
Beverages taken to-go	13.5	17.9
Food consumed in-store	13.1	17.3
Food taken to-go	9.4	12.4
Food ordered via drive-through	5.7	7.6
Other	1.3	1.7

🗄️ Key External Drivers

Driver	Impact
Consumer spending	Positive
Healthy eating index	Negative
Per capita coffee consumption	Positive
Consumer confidence index	Positive

Key Takeaways

Performance

Coffee shops face bean-sourcing issues due to weather. Unpredictable conditions in key growth areas and supply chain disruptions have significantly increased input volatility.

Artisan coffee's rise is curbing competition from fast food chains. Since coffee aficionados are ready to pay more for top-notch beans, small coffee houses face less pricing rivalry from big chains.

Products and Markets

The newly imposed tariffs on Vietnamese, Indonesian, Brazilian

and Columbian coffee, significantly increases the cost of raw materials for US coffee shops. These higher costs are already leading to price hikes at cafés, with some drinks becoming more expensive.

Importers must now pay substantial tariffs upfront, often requiring credit lines to cover costs, which adds interest expenses. This financial burden forces suppliers to pass costs down to coffee shops, squeezing profit margins and driving up retail prices for consumers.

Coffee dominates industry revenue and the industry is largely made up of coffee shops. Owners increasingly offer premium selections to appeal to coffee enthusiasts, elevating sales.

The return-to-office mandate will revive corporate sales. As more firms eliminate remote work, expenditures on coffee and snacks for in-person meetings are expected to thrive.

SWOT

Strengths	Low & Increasing Barriers to Entry Low Capital Requirements Low Customer Class Concentration Low Imports Low Product/Service Concentration
Weaknesses	High Competition Low Profit vs. Sector Average Low Revenue per Employee None & Steady Level of Assistance
Opportunities	Consumer confidence index Per capita coffee consumption
Threats	Consumer confidence index Low Revenue Growth (2021-2026) Per capita coffee consumption

Executive Summary

Snack time: The industry is anticipated to continue robust growth, despite environmental concerns

The Coffee and Snack Shops industry has experienced a wave of growth, emerging as a standout performer in the food service sector. It boasts an annualized growth rate of 2.5%, shooting revenues up to \$75.5 billion over the five years to 2026. This includes an expected 0.2% decline in 2026 alone as the Middle East conflicts have driven up crude oil prices, deterring customers from frequenting coffee and snack shops. As a result, profit is expected to fall as soaring operational costs eat up profitability.

This swooping success is largely driven by rising consumer spending on coffee and snacks. A star performer in the industry, specialty coffee shapes consumption trends due to its status as a comfort drink. Dynamic consumer behavior and evolving trends have given the industry wings, significantly driving its meteoric rise over the years. Impressive environments and the rising popularity of grab-and-go snacks draw millennials like bees to honey, making this demographic a key market segment.

Industry titans like Starbucks and Dunkin' Donuts have found leverage in specialty coffees, pushing average consumer expenditure. Coffee shops riding the wave of trends and innovative offerings, such as artisanal donuts and clean-label snacks, find favor with the public. Beloved independent coffeehouses stand their ground amid dominant franchises as more enter the scene. Simultaneously, the tea segment brews success, rivaling coffee as it leverages the trend towards health-conscious additives.

The impact of health-conscious consumers is palpable, driving demand for organic coffee and tea, gluten-free, vegan and all-natural snacks. Encouraged by the industry's growth prospects, expect more small and medium businesses to enter the market. Future shaping factors include technology-enabled customization and an emphasis on sustainability. The road ahead is marked by competition and evolution, but promises prospects. Over the five years to 2031, industry revenue is expected to expand at an annualized 0.6% to \$77.8 billion.

Industry Structure

Characteristic	Level & Trend	
Concentration	Low	
Barriers to Entry	Low	Increasing
Regulation and Policy	Moderate	Increasing
Life Cycle	Mature	
Revenue Volatility	Moderate	
Assistance	None	Steady
Competition	High	Increasing
Innovation	Moderate	

Performance

Key Takeaways

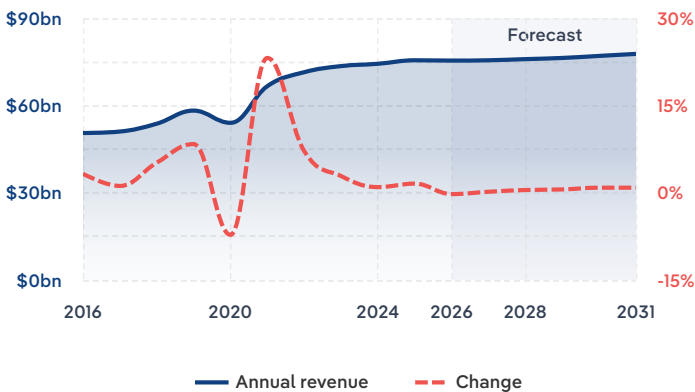
Coffee shops face bean-sourcing issues due to weather. Unpredictable conditions in key growth areas and supply chain disruptions have significantly increased input volatility.

Artisan coffee's rise is curbing competition from fast food chains. Since coffee aficionados are ready to pay more for top-notch beans, small coffee houses face less pricing rivalry from big chains.

Performance Snapshot

Revenue

Total value (\$) and annual change from 2016 – 2031. Includes 5-year outlook.



Revenue

\$75.5bn

2021-26 ↑ 2.5%

2026-31 ↑ 0.6%

2026 Revenue Growth

-0.2%

↓ Decreasing

Revenue Volatility

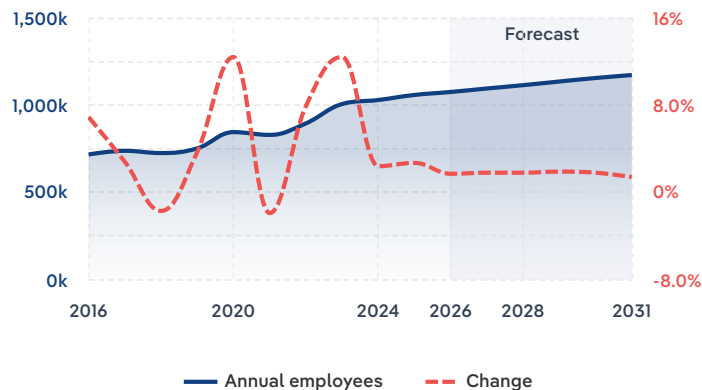
Moderate

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Source: IBISWorld

Employees

Total number of employees and annual change from 2016 – 2031. Includes 5-year outlook.



Employees

2021-26 ↑ 5.3%

1.1m

2026-31 ↑ 1.7%

Employees per Business

2021-26 ↓ 0.4%

11

2026-31 ↓ 1.4%

Revenue per Employee

2021-26 ↓ 2.7%

\$70.2k

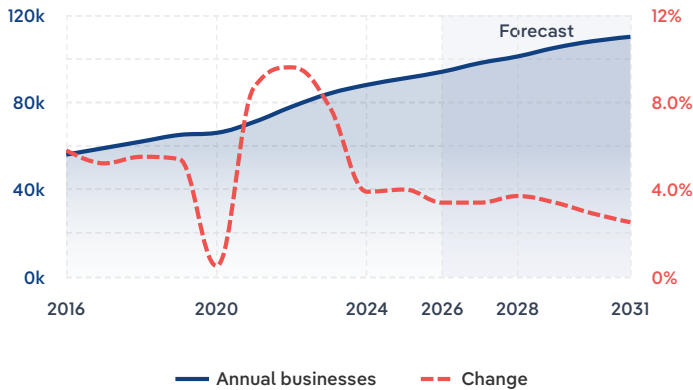
2026-31 ↓ 1.1%

IBISWorld

Source: IBISWorld

Businesses

Total number of businesses and annual change from 2016 – 2031. Includes 5-year outlook.

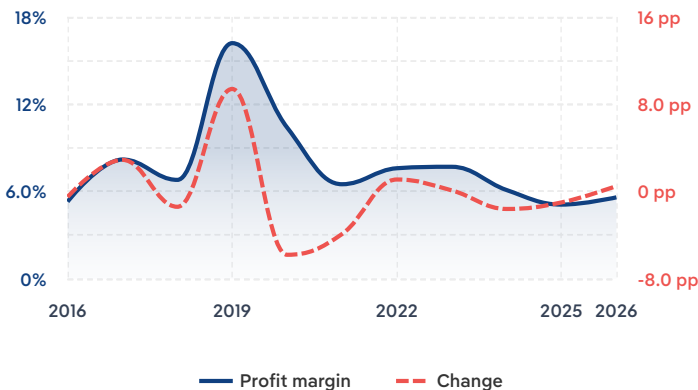


IBISWorld

Source: IBISWorld

Profit Margin

Total profit margin (%) and annual change from 2016 – 2026



IBISWorld

Source: IBISWorld

Current Performance

↑ 2021-26 Revenue CAGR: 2.5%

What's driving current industry performance?

Gen Z's health consciousness fuels coffee shops' shift to healthier options

- The preferences of Gen Z consumers significantly influence the current trends in cafes and snack shops. Lynwood Mallard, the chief marketing officer for J&J Snack Foods, observes an ongoing shift towards healthier snacking options, including protein-rich foods, snacks with reduced calories, or those served in controlled portions. There is also a high demand for vegan, gluten-free and low-sugar snack options. Other options customers seek include plant-based items, low-calorie options or organically-sourced food. Many coffee shops have expanded their product range to reflect this evolution, ensuring they cater to these ever-growing consumer groups.
- Echoing a similar sentiment, Kelleigh Gamble, Senior Brand Director at Tractor Beverage Company, notes that preferences for health-oriented drinks among Gen Z consumers are likewise prevalent. This trend encompasses beverages and food items, highlighting the broader desire for

Businesses

2021-26 ↑ 5.7%
94.3k
 2026-31 ↑ 3.2%

Employees per Business

2021-26 ↓ 0.4%
11
 2026-31 ↓ 1.4%

Revenue per Business

\$799.9k
 2021-26 ↓ 3.1%
 2026-31 ↓ 2.5%

Total Profit

\$4.2bn 2021-26 ↓ 0.5%

Profit Margin

5.6% 2021-26 ↓ 0.9pp

Profit per Business

\$44.8k

health-centric products.

- This trend has diversified the product offerings in coffee and snack shops and fostered menu innovation as businesses strive to create tastier, healthier alternatives. This trend indicates that the industry's performance is closely linked to its adaptation to health-conscious consumer demands and its commitment to menu innovation. For instance, brands like Caribou Coffee incorporate healthy whole ingredients, like pumpkin puree and fruits, into their beverages instead of artificial syrups. For instance, it uses pumpkin puree instead of syrup in its pumpkin spice lattes. Despite still containing considerable sugar, these alternatives provide a more wholesome sweetness than solely sugar-based drinks.
- Beginning on November 7, 2024, Starbucks enhanced beverage customization for its customers by discontinuing the extra charge for non-dairy milk alternatives. This move comes as a response to the high demand for personalization, wherein substituting dairy for non-dairy milk in handcrafted beverages is the second most requested customization, just after adding an espresso shot. Once this modification rolls out, a substantial number of US Starbucks customers paying an added charge for customizing their beverages at company-operated stores will benefit from a price reduction of more than 10.0%. This move towards pricing inclusivity reflects the industry's shift in responding to evolving consumer preferences by making their offerings more accessible and personalized.

Swings in global coffee prices stem from supply-demand dynamics and environmental factors push industry purchase costs

- Coffee prices have surged to a 50-year high in 2024 due to increased global demand and supply shortages. According to The New York Times, the price of coffee beans jumped 30.0% over the month from the beginning of November to late December 2024. These price hikes are primarily a result of reduced supply from coffee-producing regions hit by severe weather conditions. Specifically, Brazil, the world's largest producer of Arabica beans, experienced a severe drought, which significantly reduced last year's harvest and might affect the upcoming crop.
- Farmers in coffee-producing countries such as Brazil and Vietnam are reportedly delaying sales in anticipation of higher prices, further adding to upward pressure on coffee prices. These factors led to drastic increases in coffee bean prices and inflated coffee shop purchases.
- Operating costs for coffee producers are also escalating. Countries like Brazil and Colombia are central to coffee production due to their ideal climates. Still, they are burdened by increased demand from large consumer countries such as the United States and Germany, which further inflates costs. The impact of supply chain disruptions exacerbates the problem. Higher crude oil prices lead to more expensive transportation and higher costs.
- Coffee and snack shops are increasingly being forced to raise their coffee prices. Tim Horton's is an example, having experienced consistent price increases over the past five years, according to WNKY.com. In fact, the typical price of coffee in New York City surged from \$6.0 to \$7.0 per cup, including extras, taxes and gratuity, as cited by Eater.
- To cope with the cost increases without losing customers, many coffee shops are exploring cost-saving strategies like sourcing coffee from different areas or relying on cheaper coffee blends. Additionally, some can try offering smaller or "mini" versions of their popular drinks at lower prices, providing a more affordable option for consumers while maintaining profitability. For instance, Starbucks used to offer mini-sized 10-ounce Frappuccinos in 2015.

Digitalization and mobile tech drive demand among tech-savvy customers

- Advancements in technology, including mobile ordering apps and contactless payment options, have significantly impacted coffee and snack shops, streamlining operations and improving customer service. Mobile apps have changed the customer loyalty game. They allow customers to track visits and earn rewards digitally while providing businesses with key customer data for more targeted marketing. For instance, Starbucks, one of the industry leaders, made waves in 2014 when it unveiled mobile ordering. This allowed customers to place orders using their smartphones, bypassing the need for interaction with staff. This strategic move resulted in 17.0% of sales from mobile orders in early 2020, which grew to 26.0% within a year.
- Dutch Bros, a leading drive-thru coffee chain, demonstrated remarkable third-quarter sales thanks to its stores' accelerated roll-out of mobile ordering. The Oregon-based business began trialing mobile ordering in its Arizona stores in February 2024. According to its CEO, by the end of October 2024, Dutch Bros had received about 2.8 million mobile order transactions, a phenomenal milestone credited to the observed uptick in order frequency among users.
- Dutch Bros also recorded over one million loyalty app registrations during the third quarter. Moreover, two-thirds of all third-quarter transactions were made by loyalty club members, underscoring the effectiveness of the rewards scheme in driving sales.
- Despite the impressive growth in mobile ordering, it has arguably impacted the sit-down experience at coffee shops. Some customers have reported less comfortable seating options due to Starbucks pivoting towards a pickup-centric model. Despite such concerns, the company's continued growth suggests that convenience and efficiency are paramount for a large segment of customers in today's fast-paced world.
- The global Microsoft outage in July 2024 significantly affected Starbucks, as their popular mobile app went offline temporarily. This incident underscored the industry's heavy reliance on technology. The tech outage prevented customers from placing and picking up orders via Starbucks' mobile app. With the system inaccessible, regular customer routines were interrupted, highlighting the pivotal role of these systems in serving customers quickly and efficiently.

Premium coffee offerings boost coffee demand

- Coffee and snack shops, specifically independent outlets, are undergoing a shift towards higher-quality offerings known as "third-wave coffee." This movement views coffee as an artisan product, like craft beer and wine, venturing beyond its traditional role as a working-day fuel. There's been considerable attention paid to bean quality, roasting techniques and intricate preparations.

- The evolution of coffee from a workday fuel to a luxury beverage experience has been instrumental in the industry's growth. Consumers, particularly millennials and Gen Z, are more willing to pay for beverages with taste variety and high-quality ingredients. This trend has significantly affected the coffee and snack shop industry, with new entrants focusing on curated coffee selections to attract consumers.
- It's not just about the coffee alone. Young consumers' aspiration for luxury experiences also drives the performance of these high-end food and beverage outlets. A report by the National Coffee Association and Specialty Coffee Association states that 45.0% of US adults had specialty coffee in the past day, marking an 80.0% increase since 2011. The report also finds that 66.0 % of consumers aged 25-39 had more specialty coffee in the past week than any other age group.
- Interestingly, this market segment is not led by big corporations but by smaller establishments that run a limited number of shops. The success of these businesses indicates a change in consumer spending habits, suggesting a potential increase in discretionary spending. The success of upscale cafes such as Blue Bottle Coffee and their evolution into global brands is proof of the growing demand for specialty coffee.
- Coffee shops can capitalize on the growing preference for premium coffee by implementing several strategies. One crucial step is procuring high-grade or exotic coffee beans like Kopi Luwak to cater to sophisticated coffee enthusiasts. They could also widen their selection of specialty beverages and employ varied brewing methods. Besides, investing in barista upskilling can significantly improve both the quality of the coffee and the overall customer experience. The ambiance of the coffee shop also plays a pivotal role, with comfortable and distinctive interiors potentially attracting high-end customers.

Social media's pursuit of high-end experiences and brand associations propel luxury cafes' performance

- Luxury food and beverage outlets resonate with young consumers due to their upscale atmosphere and association with fashion houses. A 2023 survey by Vogue Business disclosed that over half of respondents aged 16 to 24 had purchased what they perceived as luxury food or drinks within the past year, indicating a willingness to splurge on high-end experiences.
- Fashion brands offer unique food and drink experiences across diverse establishments, from fine dining to a more casual cafe vibe. Luxury fashion houses such as Armani, Ralph Lauren, Roberto Cavalli and Bulgari have adapted their brand image to edible form, attracting customers who appreciate the blend of couture and cuisine. Strategic store locations also contribute significantly to their business performance. For instance, Tiffany & Co.'s Blue Box Café, located on the fourth floor of its New York flagship store, presents picturesque Central Park scenes that supplement its exclusive food offerings, providing patrons with a unique luxury dining experience.
- The popularity of luxury cafes, such as the Blue Box Café by Tiffany & Co. in New York, can be attributed to customers' desire for affiliations with opulence and exclusivity, primarily within the social media-savvy generation. These users seek more than just consumption; they strive to submerge themselves in the brand's essence and lifestyle, akin to why they purchase designer apparel or accessories. Their focus on designer brands like Tiffany & Co. shows that this clientele base primarily consists of affluent, style-conscious individuals. Most of them are younger consumers enticed by elite experiences and status affirmation. They view the cafe as expanding their pursuit of prestige and exclusivity.
- Social media, particularly Instagram and TikTok, play an integral role in amplifying the allure of these high-end food and drink venues. The spaces are aesthetically designed to generate "Instagrammable" moments, effectively cultivating a wider audience for the brand and attracting a younger demographic to the physical establishments. Gen Z consumers are drawn to the visual storytelling aspect of brands on these platforms, which market the products and the lifestyle offered by these designer cafes. Fashion brands exploit this powerful tool to extend their reach beyond traditional arenas.
- However, independent coffee shops with distinctive aesthetics, cutting-edge roasting techniques, and high-end branding can contribute to their visibility and popularity on social media platforms, providing them with a competitive edge against luxury brand cafes. For instance, according to an analysis by print-on-demand company Printful, Onyx Coffee in Arkansas stands out among over 100 popular coffee shops across the nation based on Instagram hashtag volumes, ranking third most popular. Likewise, Cafe Du Monde in New Orleans and Alfred Coffee in Los Angeles were named as the most 'Instagrammable' and second most 'Instagrammable' coffee shops in the country, respectively, by the study. This suggests the role aesthetics play in attracting potential customers.

The shift to home-brew by fourth-wave coffee is further solidified by Coffeetok influencers

- The surge in remote work resulting from the pandemic has driven changes in coffee-drinking habits. With coffee shops closing temporarily or operating with limited hours, many consumers have invested in home brewing devices. Mintel research indicates that a third of remote workers now possess a single-cup coffee brewer, such as Nespresso, compared to just a quarter of the onsite workforce. The National Coffee Association's 2024 report reveals that there was a 4.0% increase in the number of consumers who reported having coffee at home compared to January 2020, with 83.0%.
- TikTok creators have significantly influenced the coffee industry's trends, defying the conventional pattern where coffee shops drove the culture. Under the "Coffeetok" niche, these influencers frequently post coffee-related content such as brewing techniques, drink recipes, and elaborate coffee bars at home, thereby exerting a considerable influence on their large follower base. Further, a considerable proportion of Gen Z consumers, about 49.0%, use TikTok as a preferred platform to learn about coffee, according to Mintel's research. The content these influencers share is often replicated at home by their followers, emphasizing a trend towards home-brewed coffee.
- This shift toward a "bottom-up" coffee culture, driven by individual content creators rather than long-established coffee shops, is poised to disrupt traditional coffee shop culture. The inflationary economy, triggering rising costs, also fuels the drive for home-made coffee variations, propelling the shift from the café to the kitchen.
- Homemade coffee can potentially impact coffee shop revenue and profit margins. As more individuals brew coffee at home, the number of customers visiting shops may decrease, resulting in lowered sales and profits. The trend towards home brewing can also reduce foot traffic,

leading to fewer on-site sales. However, shops selling coffee beans may experience an increase in sales as home brewers need supplies.

Matcha, a coffee's alternative has become a new trendy drink

- The health-conscious Millennial and Gen Z demographics increasingly embrace matcha, upending coffee's traditional dominance in caffeine consumption. Matcha's popularity has exploded on platforms like TikTok, with videos tagged #Matcha drawing over 15 billion views. With an estimated caffeine content of around 70mg, matcha is touted as a healthier alternative to coffee, which contains 100-200mg of caffeine per cup. Matcha also offers L-theanine, an amino acid that improves concentration and alertness, promising a more steady energy boost than coffee's well-known surge-and-crash effect.
- Despite matcha's growing popularity, future supply concerns loom. Decreasing tea production in Japan, increasing costs, and declining cultivation areas could impact availability and prices, potentially cooling the current matcha trend. Nonetheless, matcha has made its way into global coffee shops, significantly due to Starbucks adding it to its menu.
- Matcha has also become extremely popular in the United States, with sales passing \$10 billion over the past 25 years. On TikTok, matcha enthusiasts are sharing their daily routines, home arrangements, and recipe ideas under the hashtag #MatchaTok which has amassed more than 40,000 posts. The growing demand for Matcha as an alternative to coffee presents a new growth avenue for coffee shops.
- Implementing matcha into current product offerings can significantly boost a cafe's profitability because of its status as a premium, health-focused item. Coffee shops can introduce matcha-infused beverages and food items and educate their staff about proper matcha preparation.

Tariff shocks and geopolitical tensions are squeezing profitability of US coffee and snack shops

- The effective US tariff rate surged to 25.0% in 2025, the highest level in more than a century, after the introduction of a universal baseline tariff and multiple country-specific surcharges. Broad tariffs on consumer goods and agricultural imports mean nearly all food categories now carry higher input costs, with econometric estimates suggesting food prices alone are 3.3% higher in the short run because of 2025 measures, according to The Budget Lab at Yale. These increases arrive on top of recent inflation, so households feel cumulative pressure and become more price-sensitive when spending on prepared food and beverages.
- A universal 10.0% tariff on nearly all coffee-producing countries took effect in April 2025, with Mexico a notable exception under USMCA, immediately lifting landed bean costs for roasters. Specifically, a 50.0% tariff on Brazilian green coffee, effective August 2025, targets a supplier that provides roughly 30.0% of US coffee imports, according to USDA, resulting in a cost surge that could effectively halt some Brazil flows and force shifts to higher-priced alternatives such as Colombia, Honduras, Peru and Vietnam. Even as some late-2025 coffee tariffs are partially rolled back, menu prices are expected to remain elevated because firms tend to pass through increases faster than they reverse them, especially once customers anchor to new price points.
- The Bureau of Labor Statistics data show the average price of a pound of ground coffee to be around \$8.41, reflecting both tariffs and tight global supply. Packaged whole-bean and instant coffee prices climbed close to 14.5% year-over-year by August 2025, indicating broad pass-through from import costs to consumers across formats. According to the US Chamber of Commerce, independent stores such as Henry's House of Coffee in San Francisco report that new 10.0% tariffs on beans from Africa, South Asia, South America and Central America are forcing difficult choices between cutting quality and raising prices to remain viable.
- Tariffs on agricultural and food imports have increased the costs of sugar, wheat, corn, chocolate, nuts and related ingredients, with USDA data showing sugar and sweets prices up about 5.3% in August 2025 versus a year earlier. Consequently, manufacturers respond with higher list prices, smaller package sizes and more volatile promotional activity, which spills over into higher unit costs for small snack and bakery retailers. However, budget-constrained consumers increasingly cut back on non-essential treats or trade down to cheaper private labels, hurting traffic and average ticket sizes at independent snack shops and bakeries.
- In 2026, oil and natural gas price spikes tied to the Middle East conflict are increasing transportation, refrigeration and packaging costs across the coffee and snack supply chain. Higher fuel costs are flowing through to freight rates, last-mile delivery fees and energy-intensive inputs such as plastics, glass and fertilizer, raising overall landed costs even as commodity prices soften. Also, shipping disruptions around the Suez Canal and Strait of Hormuz are forcing reroutes via the Cape of Good Hope, adding 10 to 20 days to key trade lanes. These delays are tightening global shipping capacity, lifting freight rates and insurance premiums and disproportionately affecting specialty coffee flows from East Africa and Asia that rely on these routes. Therefore, roasters and cafés continue to face elevated non-coffee costs, energy, shipping and packaging, which are proving more persistent than green coffee price volatility.
- Higher tariffs don't just hit ingredients; they also affect imported equipment, cups, packaging and some cleaning and maintenance supplies, adding to overall operating costs for small outlets. With limited pricing power, many shops respond by gradually raising prices, simplifying menus, substituting toward tariff-favored origins such as Mexican coffee and using cheaper blends or fewer premium ingredients. Stores that can reframe their offer as an "affordable treat," emphasize local inputs, or visibly protect value appear better positioned to stabilize volumes despite the tariff shock.

Outlook

↑ 2026-31 Revenue CAGR: 0.6%

What's driving the industry outlook?

Increased return to office policies boost coffee and snack shops' growth

- Numerous businesses, which make up about 90.0% of all companies, anticipate enacting return-to-office (RTO) protocols by 2025, according to a 2023 report from Resume Builder. Corporations like Goldman Sachs, Amazon, AT&T, JPMorgan, Google, EY, Microsoft, and Apple had already started shifting away from remote work in 2024, adding to the resurgence of on-site employees. Likewise, President Donald Trump signed an executive order requiring all federal employees, nearly 3.0 million in number, to return to their office environments full-time.
- The resurgence of out-of-home coffee consumption to pre-pandemic levels in September 2024 solidified the importance of this mandate. According to the recent NCDT analysis, more than a third of the respondents who drank coffee the previous day did so outside their homes. This indicates that although home remains the predominant coffee-drinking venue, cafes have successfully recaptured a substantial portion of their customer base.
- This recovery of office culture is thus likely to stimulate the performance of coffee and snack shops by re-establishing pre-pandemic daily rituals, such as grabbing a takeaway breakfast or midday snack, which will, therefore, contribute to a rise in sales for these businesses. Further, this mandate also helps coffee shops to combat the increasing prevalence of home-brew coffees, which siphons away industry demand.
- The number of customers at coffee and tea quick-service restaurants (QSRs) increased by 4.0% in September 2023 compared to the previous year, according to a report from Circana with Restaurant Dive. This trend indicates that more people are purchasing take-out drinks and snacks as they resume their normal routines. Some coffee chains, like Starbucks, were also expanding their food options to attract more customers. For example, half of Starbucks' \$6.0 billion food sales in FY 2023 came from all-day breakfast options and the company planned to add more snack and fresh-baked goods options in the future.

Innovative AI technology elevates industry standards

- Artly, an automated coffee maker, has effectively disrupted the industry by deploying 19 robots across nine coffee shops in California and Oregon. Since the brand's inception, these automated baristas have impressively brewed and served over half a million cups of specialty coffee.
- Imbued with a unique blend of robotics, computer vision, and deep learning techniques, Artly crafts an exceptional coffee-drinking experience. The company's patent-pending AI barista, designed to mimic human skills accurately, brings a new edge to brewing. Utilizing the same equipment and tools used by professional human baristas, Artly's robots promise reliable and precise coffee preparation.
- Award-winning baristas using motion-capture technology keep the journey real and connected. The robots learn from the best, replicating complex recipes and using equipment and tools with the utmost expertise. Moreover, the learning platform allows human baristas to show real-time demonstrations and continually improve the bots, fostering a unique, evolving coffee experience.
- The forthcoming Bellevue store in the West Main complex, an Amazon-anchored development, adds another technological milestone to the retail landscape. Barista Bots roasts coffee beans under the guidance of US barista champion Joe Yang, affirming the blend of human expertise and AI technology, ensuring consistent quality cup after cup.
- Implementing Artly's robotic baristas in their stores, Muji has ensured consistent coffee quality while lowering labor costs. This effective strategy significantly reduces operational expenses. As of 2024, these robotic baristas are actively used at Muji's US outlets.
- Besides AI, coffee shops can enhance operation standards and cut costs by adopting various technology solutions. This includes online ordering and mobile applications for fast and convenient customer service, reducing the load on staff. Self-service kiosks can further streamline the order process and minimize errors. The utilization of IoT technology can also improve efficiency in equipment monitoring and task automation, ensuring a consistent standard of coffee. Digital payments speed up transactions and reduce the need for cash handling.

Cafes tap into sustainability trend with waste reduction efforts

- More coffee and snack shops will adopt eco-friendly practices, from waste management to energy usage, ingredient sourcing, and packaging. Coffee shops will ditch single-use cups for reusable ones, opt for locally sourced snacks to reduce their carbon footprint and make transparency a core part of their business models.
- Many California cafes are reducing their environmental footprint by switching to reusable or compostable packaging. Companies like Blue Bottle Coffee are leading the way, having decided to eliminate single-use cups. Customer incentives are provided by several cafes, such as discounts on sustainable coffee purchases to those bringing their reusable cups. This not only helps in cutting down waste but also imbues customers with a sense of environmental responsibility.
- Upcycling coffee grounds is another eco-friendly trend in the industry. Instead of being dumped in landfills, used coffee grounds are being repurposed as fertilizer, fuel, or even included in skincare products. Various cafes have partnered with local businesses and organizations to use their used grounds properly.
- As consumer preferences evolve, coffee and snack shops are adopting sustainability practices to meet these demands. These include incentivizing the use of reusable cups, sourcing from sustainable suppliers, implementing recycling programs, opting for energy efficiency, and supporting fair-trade products. They are also broadening their menus to accommodate vegan and vegetarian diets and actively communicating their eco-friendly initiatives to their customers. These steps demonstrate their commitment to environmental responsibility.

New café concepts by fast-food chains intensify industry competition

- The fast-food industry is innovating as chain restaurants like Taco Bell and McDonald's pivot towards creating more beverage-focused outlets, a trend fuelled by consumers' increasing demand for unique, indulgent beverages. Specifically, Taco Bell's Live Más Café and McDonald's

CosMc's are leading examples of these café spinoffs, focusing on a wider variety of coffee, milkshakes and iced beverages rather than the conventional fast-food menu items.

- Whataburger is also redefining its strategy by renovating its hot and iced coffee menu six months prior, with a target of becoming the 'go-to coffee shop' in the United States. Collectively, these initiatives signal the fast-food industry's response to evolving consumer preferences. These strategic diversifications align with an effort to appeal to Gen Z consumers, who have shown a predilection for unique and sweet beverage offerings, indicating the role of demographic preferences in shaping industry trends.
- These chains seek out niche markets to expand their customer base, influence their brand image, and boost their presence in the rapidly changing food and beverage industry. It also indicates an inclination toward diversification to enhance customer experience and adapt to market changes. Nonetheless, this trend will further intensify the competition that independent coffee shops are currently facing. In response, coffee shops must capitalize on their aesthetics and customer service to attract customers.
- Independent coffee shops typically prioritize the quality of their coffee, using superior beans and skilled baristas, to outshine fast food chains. They often create a distinctive and comfortable ambiance that attracts customers and encourages them to stay longer. With personalized customer service, these shops can win customer loyalty.

Shift in consumption patterns favors snacking and drives industry adaptation

- Generational differences in lifestyle have led to an alteration in consumption patterns. For instance, Gen Z is increasingly consuming food on the go, necessitating quick and convenient options from the food industry. The unique time constraints of these younger consumers make in-car dining a common occurrence.
- Another noticeable trend is the orientation towards afternoon snacking rather than full meals. Customers now favor smaller, snack-sized items over sizable meals, indicating a preference for portion control. Despite the size difference, the rate of food attachment, the measure of how many times a customer buys food in addition to their primary purchase, remains steady across various times of the day. Datassential notes that 47.0% of consumers who stray from traditional meal schedules do not feel hungry at typical meal times.
- A shift in eating habits towards small-sized snacks or treats throughout the day is evident, especially among younger US consumers under 35. According to an 84.51st study, 74.0% reported snacking multiple times daily. This shift has major implications for the performance of the coffee and snack shop industry during off-peak hours.
- Generation Z's adventurous food preferences also play a significant role. Datassential reports that 55.0% of Gen Z are enthusiastic about tasting new food varieties in familiar formats. This demand for innovation within comfort zones significantly influences product development in the industry. In response to these changes, coffee and snack shops have begun innovating their offerings. New snacks and smaller portion-size meals are gaining a foothold on menus.
- Coffee and snack shops can align with the growing trend of snacking by incorporating a variety of health-focused options, such as low-sugar, low-fat, vegan, gluten-free and protein-rich snacks. They could provide diverse serving sizes, from small snacks for on-the-go consumption to larger shared portions. Using seasonal and local ingredients can attract customers who value sustainability, and partnerships with health brands can expand their customer base.

Mega events send location-driven tailwind through US coffee and snack shops

- Mega events are riding on a structurally expanding coffee-and-snack base. That means World Cup- and Olympics-linked spikes are occurring in a category that's already scaling and fragmenting, not one that's stagnant. Consumer behavior is tilting toward experiential and social coffee occasions, particularly among younger drinkers who favor cold formats, functional beverages and visually appealing drinks they can share on social media. Mega events plug directly into that pattern by creating natural "viewing moments" where specialty coffees, energy-leaning cold brews and photogenic snacks can become part of the ritual rather than a sideshow.
- World Cup-driven fan flows are the primary catalyst, with restaurant analysis showing host-city venues along "fan-flow" corridors (stadium-hotel-transit-fan zones) capturing roughly 8.0% to 20.0% sales uplifts during event weeks, according to Revenue Management Solutions, while some non-host markets see marginal declines as viewing migrates to hubs. This favors coffee and snack shops close to stadium routes, fan festivals, transit nodes and dense viewing clusters.
- Elevated social viewing and watch parties materially expand food and beverage occasions, with pre-World Cup research indicating that over 75.0% of US and Canadian viewers plan watch parties and that more than 40.0% of Americans plan to watch on-premise, according to Nielsen, directly supporting cafés, bars and snack-focused venues. Numerator's study around the Olympics shows about 71%.0 of viewers intend to make a purchase tied to the Games, with snacks, chips and dips dominating baskets.
- Snack categories sit at the center of viewing behavior, as Super Bowl-week data shows growth in total snack food sales and especially strong gains in tortilla chips, dips and other party-oriented items, offering a benchmark for spread-out "game-day" demand across a multi-week tournament, according to Numerator. For coffee and snack shops, this underpins the case for shareable bundles, salty-sweet assortments and beverage pairings across repeated match days.
- Operational flexibility is a key swing factor, with recent World Cup playbooks urging cafes to simplify menus, expand prep, add staff and build event-friendly offers such as watch-party packages and themed beverages to convert spikes in foot traffic into higher average checks and repeat visits. However, local access constraints, including road closures and crowd-control measures near fan zones, can suppress sales for poorly positioned units despite strong overall event demand.
- Sponsorship and themed activation create upside for brands that can localize their marketing, as consumer research suggests that up to 85.0%

of fans surveyed by Nielsen say World Cup sponsorship can influence purchase or brand engagement, supporting co-branded offers, limited-time "photo moment" drinks and targeted campaigns in both chains and independents. This dynamic encourages cafes to align bundles, pricing and promotions with specific matches and national teams rather than generic "sports" positioning.

Volatility

Moderate

What influences industry volatility?

High-income households and economic growth help coffee and snack shops rebound

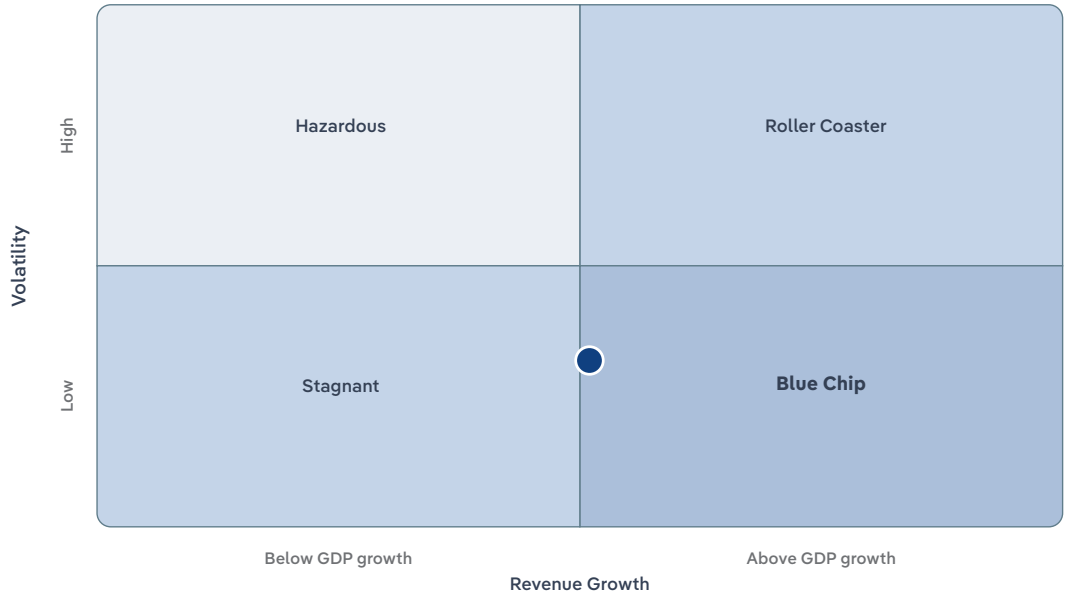
- High-income households make frequent coffee and snack purchases even as overall consumer sentiment weakens, helping smooth revenue cycles for coffee and snack shops. Specifically, coffee's relatively low ticket size makes it a small "affordable treat," so higher earners cut back less aggressively than lower-income consumers during downturns. Traffic to coffee shops has grown strongly over the past decade, reflecting entrenched daily routines and the role of coffee occasions as a habitual rather than discretionary spend for affluent customers.
- Volatile coffee bean prices, rising wages and higher occupancy costs introduce volatility even when customer visits remain steady. Further, intense competition across branded chains, independents and QSR concepts pushes coffee and snack shops to run promotions and discounts, which can compress profit and amplify profit swings. Besides, when inflation accelerates, some consumers shift to at-home brewing or cheaper formats, forcing shops to adapt menus and pricing and creating uneven performance across segments, formats and locations.

A range of food types suits consumers' changing tastes and needs

- The coffee and snack shop industry experiences volatility due to shifts in consumer preferences and the extensive range of product offerings. Steady growth in specific segments like coffee shops and frozen yogurt venues helps stabilize this volatility.
- While a product segment may fall in popularity, the surge in another segment can balance it. This balance of shifts contributes significantly to the industry's unpredictable nature. It is the continuous evolution of consumer tastes that both challenges and drives the industry.

Blue Chip

Industry volatility vs. revenue growth (2021-2026 CAGR)



☆ Key Success Factors

How do successful businesses overcome volatility?

Alter goods and services produced in favor of market conditions

Coffee and snack shops need to monitor market and consumer needs, wants and desires, particularly about demand for healthy foods.

Having a clear market position

Having a clear market position against competitors in the limited-service industry and other food service operators is a necessity.

Life Cycle

Mature

Life Cycle

Indication of the industry's stage in its life cycle compared to similar industries



*Growth is based on change in share of economy combined with change in establishment numbers

Why is the industry mature?

Contribution to GDP

The coffee and snack shops industry generates billions of dollars in annual revenue, but its share of national GDP remains relatively modest, reflecting a crowded, low-margin consumer service industry. Its continued modest expansion shows stable underlying demand rather than rapid structural growth, a sign of a mature industry.

Market Saturation

Major chains dominate national visibility, yet the market remains highly fragmented, with the largest chains accounting for only a minority of industry revenue. This crowded field, combined with easy entry for small stores, has intensified competition and limited room for outsized growth, pushing the industry firmly into saturation.

Innovation

Innovation in the industry is somewhat stifled by constraints on modifying basic products like coffee, tea and juice. Many shops can only resort

to changing how they serve these staples, pinning their hopes on a unique presentation to lure in customers.

Consolidation

Larger coffee chains increasingly rely on mergers, acquisitions and regional roll-ups to capture economies of scale in purchasing, labor and technology. This consolidation trend reflects margin pressure and slower organic growth, making scale efficiencies a central lever for sustaining profitability in a mature industry.

Technology and Systems

The digital age offers a newfound way for coffee and snack shops to connect with customers. Many smaller shops leverage online advertising, dynamic websites and social media to boost brand awareness and revenue. Plus, they use technology to enhance service, cut down food waste, and streamline operations.

Products and Markets

Key Takeaways

The newly imposed tariffs on Vietnamese, Indonesian, Brazilian and Colombian coffee, significantly increases the cost of raw materials for US coffee shops. These higher costs are already leading to price hikes at cafés, with some drinks becoming more expensive.

Importers must now pay substantial tariffs upfront, often requiring credit lines to cover costs, which adds interest expenses. This financial burden forces suppliers to pass costs down to coffee shops, squeezing profit margins and driving up retail prices for consumers.

Coffee dominates industry revenue and the industry is largely made up of coffee shops. Owners increasingly offer premium selections to appeal to coffee enthusiasts, elevating sales.

The return-to-office mandate will revive corporate sales. As more firms eliminate remote work, expenditures on coffee and snacks for in-person meetings are expected to thrive.

Largest Market

\$18.3bn

Beverages consumed in-store

Product Innovation

Moderate

Products and Services

How are the industry's products and services performing?

Increased taste for high-end coffee and seasonal varieties shapes demand trends

- Coffee and snack shops, retailing different coffee beverages based on varying strengths, styles, bean types, and milk used, are experiencing an enhanced demand for premium coffees. A preference for high-priced, quality coffee is expanding the range of offerings at coffee shops and boosting independent outlets' growth.
- Seasonality considerably affects demand patterns in this industry. Notably, there is an increased consumption of iced coffee beverages during warmer seasons. Shifts in preferences have the industry evolving to cater to these trends for sustained growth.
- The majority of coffee consumed, 73.0%, as per the 2024 National Coffee Data Trends Specialty Coffee Report, is hot, a trend that profoundly resonates with specialty coffee consumers. Notably, lattes at 9.0% and cold brews at 11.0% are the most likely beverage types to be consumed cold at the past-week level in January 2024.
- Aesthetics are a key driver in coffee lovers' choice of coffee outlets to enjoy their coffee. The modern-day consumer's interest extends beyond merely the taste of their coffee; they are also concerned about the ambiance. Hence, a coffee shop's aesthetics can significantly impact its demand.

Demand shift in other beverages ties to the matcha trend

- Demand in the coffee and snack shop industry is heavily influenced by seasonality and the availability of cold beverages such as milkshakes, juices, smoothies and iced teas. However, a significant shift has been noted with the rising popularity of matcha tea, a beverage high in antioxidants and rich in vitamins and minerals.

- Starbucks has boosted global acceptance of matcha tea, with the beverage now on menus in its coffee shops worldwide. Social media has also played a significant role in shaping demand. On TikTok, the hashtag #MatchaTok has over 40,000 posts, showcasing everything from morning matcha routines to homemade matcha latte recipes, indicating a robust online community dedicated to this emerging trend. According to Eater, US consumers have shown particular interest, with matcha sales exceeding \$10 billion in the past 25 years.
- The industry also caters to consumers' desire for hot beverages, offering options such as tea, hot chocolate and chai lattes. While these products are popular, their demand tends to decrease in warmer seasons, demonstrating the impact of seasonal variations on market demand.

Rising demand for plant-based menus is supporting solid product growth in the industry

- Coffee and snack shops are primarily competitive, and service speed often determines success. These establishments offer an array of food, from donuts to cookies, sandwiches, and salads. Options requiring extensive prep time are, however, rare. This approach encourages customers to choose quick, tempting bites over more time-consuming meal options.
- The industry has witnessed expansion by leveraging high-priced food items. Offering a variety of foodstuffs, right from snacks like cookies, muffins, yogurts, and ice creams to full meals like sandwiches and salads, has led to significant revenue growth. Upselling snacks or other products along with beverages has become a successful strategy.
- Combo deals have become a strategic tool for coffee and snack shops, enticing customers to purchase food and drinks. This persuasive strategy has boosted overall sales, signaling a clear shift in customer buying behavior.

- A notable trend reshaping the industry is the rising demand for vegan and vegetarian products. This trend presents an opportunity for businesses in this industry to innovate and introduce plant-based options to their menus, tapping into emerging demand and gaining a competitive advantage. In coffee and snack shops, vegan and vegetarian snacks typically include bagels, oatmeal, pastries, breakfast sandwiches, wraps and baked goods made without meat, dairy, or eggs. Common examples at mainstream cafés range from plain bagels and instant oatmeal to avocado toast, falafel wraps and plant-based breakfast sandwiches that use vegan sausage, JUST Egg and dairy-free cheese. These products let operators serve vegans, vegetarians and flexitarians without overhauling their core beverage offer.
- Major US chains have expanded vegan snack and light-meal options alongside dairy-free drinks, signaling that plant-based snacks are now commercially significant rather than peripheral. Peet's Coffee, with more than 300 US locations, partnered with JUST Egg and Beyond Meat to launch the Everything Plant-Based Sandwich, featuring plant-based sausage, egg and cheese on an everything bagel thin, targeting breakfast and snack dayparts. Blue Bottle highlights vegan avocado toast and chia overnight oats as grab-and-go food, showing how specialty chains use plant-based items to upgrade their snack menus.
- Specialty vegan coffee shops across the US now operate as full-service snack and light-meal destinations, offering extensive ranges of plant-based pastries, sandwiches, and baked goods. Concepts such as Familiars Vegan Coffee Shop in New York promote vegan bagels in flavors like Beet Lox and Fancy Fig, while Daylily Coffee Shop offers five plant milks as standard and pairs them with freshly

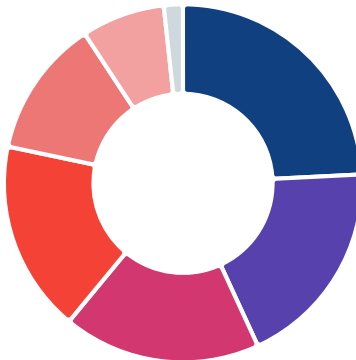
made vegan breakfast sandwiches and pastries. In Los Angeles, venues like Just What I Kneaded and Clementine Bakery focus on vegan biscuit sandwiches, Pop-Tarts, French-style pastries and savory sandwiches, blurring the line between bakery, snack shop and café.

Coffee and snack shops leverage branded merchandise and partnerships to boost sales

- Coffee and snack shops are strategically expanding their markets and boosting customer loyalty by retailing auxiliary items such as packaged coffee, single-serve coffee pods, drink accessories and brewing equipment. By integrating these goods into their product range, these businesses are capitalizing on their existing customer base to foster growth and brand affinity.
- A popular approach is branded merchandise collaborations with other retail businesses or franchises. These limited-edition releases tap into fans' loyalty and increase the brand's visibility. For instance, in October 2024, in collaboration with Universal Pictures for the new film *Wicked*, Starbucks unveiled drinkware and card designs based on the movie's imagery, resonating with fans' affection for the cinematic event.
- Coffee and snack shops are characterized by aggressive competition and constant innovation to attract and retain customers. Fresh product offerings, engaging collaborations, and themed merchandise are just a few strategies these businesses pull to stand out and spark consumer interest.

Products & Services Segmentation

Industry revenue in 2026 broken down by key product and service lines.



- Beverages consumed in-store (\$18.3bn) 24.2%
- Beverages ordered via drive-through (\$14.3bn) 18.9%
- Beverages taken to-go (\$13.5bn) 17.9%
- Food consumed in-store (\$13.1bn) 17.3%
- Food taken to-go (\$9.4bn) 12.4%
- Food ordered via drive-through (\$5.7bn) 7.6%
- Other (\$1.3bn) 1.7%

☆ Key Success Factors

What products or services do successful businesses offer?

Alter goods and services produced in favor of market conditions

Coffee and snack shops must stay abreast of market trends and consumer preferences, such as demand for healthy food choices. This helps ensure business relevance and competitiveness.

Develop new products

In the competitive coffee and snack shop industry, differentiation is essential. Without it, these businesses may risk losing their clientele.

Innovations

Moderate

What are innovations in industry products and services?

Online order system boost sales

- Coffee and snack shops have adopted QR codes for a more expedient and user-friendly service. Customers can scan the code to access the menu and order without waiting or engaging with a staff member. The system significantly decreases the customer's waiting time. It allows the shop to cater to more customers, increasing their sales, productivity and efficiency.
- Many shops introduced online ordering and mobile apps, especially amid the pandemic. This allowed customers to order and pay remotely, improving both convenience and safety during a time when minimizing human contact was important.

Customization helps coffee shops to up-sell

- Coffee shops have introduced a customization feature that allows individuals to tailor their orders according to their preferences. Customers can now choose from various options, including type of coffee bean, brewing method, amount of sugar, ice levels, and milk type, thereby enhancing the overall customer experience.
- Introducing specialty toppings like cookie crumbs can enhance the taste and appeal of drinks, allowing businesses to charge a premium. Similarly, offering various alternatives such as oat, soy, or nonfat milk caters to different dietary preferences and needs. These make the product range more inclusive and diverse, which can justify a higher price point.

Major Markets

What's influencing demand from the industry's markets?

High-income earners making over \$100,000' discretionary spending boosts premium coffee and snack market

- High-income earners, typically with disposable incomes exceeding \$100,000, appear to be boosting demand for premium products available at coffee and snack shops, often including artisan pastries and high-end coffee drinks. These products are typically priced higher than standard offerings due to their superior quality or exclusivity. These customers' higher purchasing power and lack of time for home-brew coffee induce them to purchase coffee from coffee shops more frequently.
- With increased eating out comes a significant rise in the demand for premium offerings at coffee and snack shops, a choice influenced by high-income earners' ability and willingness to pay for such premium options. This rise in demand suggests a shift in consumer preference towards more upscale dining options, even in casual settings such as coffee shops and snack bars.
- The significant layoffs in the tech sector have markedly shrunk this market size. Usually earning over \$100,000 a year, the increase in

unemployment among tech workers has negatively impacted industry demand. This is due to them visiting less frequently and many choosing to make their coffee at home. Therefore, this market is expected to account for 47.3% of industry revenue.

Middle-income earners consistent' preference for moderately priced items drives industry demand

- Middle-income buyers routinely choose moderately priced items in coffee and snack shops. These goods, perceived as affordable indulgences, appeal to this demographic's desire for economical and pleasurable purchases. Consequently, middle-income households earning between \$30,000 and \$70,000 annually represent a collective 32.9% of industry revenue in 2025.
- This behavior has an intriguing ripple effect. These consumers are less likely to traffic high-end food markets, emphasizing their discretionary spending habits favor moderate over luxury pricing. Given these trends, coffee and snack industry businesses could strategically price their offerings to cater to middle-income earners.

Demand from low-income consumers were significantly reduced due to rising inflation

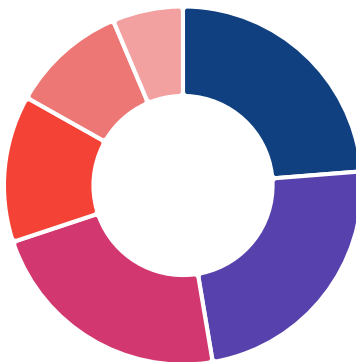
- Lower-income consumers often exercise caution when spending on nonessential items such as coffee and snacks. This tendency requires them to prioritize their spending and focus more on essential expenditures. In 2025, low-income customers earning below \$30,000 annually are expected to make up 13.3% of revenue.
 - The coffee and snack shop industry undoubtedly feels the pinch as these consumers opt for homemade alternatives or cheaper options. This careful approach to spending eventually impacts demand, potentially leading to decreased sales for these businesses. Further, high inflation has exacerbated this incidence, forcing some lower-income consumers to completely forgo ordering from coffee shops.
- Remote working trends continue to influence coffee and snack demand**
- The market comprises businesses regularly using coffee, bagels and donuts as staff incentives or rewards. These businesses also serve these items in meetings or patronize the industry's establishments during corporate events.
 - A significant shift to remote working in various companies during and after the pandemic led to decreased demand. Although corporate

clients account for a small segment of the industry's revenue, their patronage helps to sustain the coffee and snack shops' business. Meet-ups at coffee shops, a common practice among businesses, also dwindled due to increased virtual meetings, leading to a further decrease in revenues for this market's coffee and snack shops.

- Data from a 2023 report by Resume Builder revealed that approximately 90% of corporations anticipate implementing return-to-office (RTO) policies by 2025. Major corporations such as Goldman Sachs, Amazon, AT&T, JPMorgan, Google, EY, Microsoft, and Apple have already initiated this shift, bolstering the frequency of local coffee and snack stores. In January 2025, President Donald Trump also mandated a five-day office week for all federal workers, reintroducing almost 3.0 million people into coffee and snack shops.
- The revival of on-site work culture bodes well for coffee and snack shops, reinstating pre-pandemic food and beverage procurement routines like grab-and-go breakfasts and midday snacks, driving increased revenue in this industry. As a result, this market is anticipated to account for 6.4% of industry revenue in 2025.

Major Markets Segmentation

Industry revenue in 2026 broken down by key markets



- Households earning between \$100,000 and \$149,999 (\$17.9bn) 23.7%
- Households earning more than \$150,000 (\$17.8bn) 23.6%
- Households earning between \$30,000 and \$69,999 (\$17.0bn) 22.5%
- Households earning less than \$30,000 (\$10.0bn) 13.3%
- Households earning between \$70,000 and \$99,999 (\$7.9bn) 10.5%
- Businesses (\$4.8bn) 6.4%

International Trade

No data

Some industries don't directly import or export goods. See reports at the manufacturing level for international trade data on relevant

products.

Geographic Breakdown

Key Takeaways

Coffee shops proliferate in populous, high-income states like California and New York. These areas' dense populations and robust economies foster vibrant café cultures.

Dunkin' reigns supreme in New England. This stronghold stems from the brand's origin in this region, which creates deep-rooted allegiances with local customers.

Business Locations

State	Establishments (Units)	Establishments (%)	Revenue (\$m)	Revenue (%)	Wages (\$m)	Wages (%)	Employment (k)	Employment (%)	Population (%)
Alabama	1,202	1.0	601.0	0.8	179.7	0.8	11,048	1.0	1.5
Alaska	477	0.4	185.9	0.2	60.2	0.3	3,292	0.3	0.2
Arizona	2,553	2.2	1,931.2	2.6	582.5	2.4	28,192	2.6	2.2
Arkansas	833	0.7	391.3	0.5	95.1	0.4	6,074	0.6	0.9
California	19,279	16.6	14,207.1	18.9	5,111.3	21.5	183,445	17.1	11.5
Colorado	2,387	2.1	1,718.5	2.3	540.9	2.3	24,539	2.3	1.8
Connecticut	1,463	1.3	1,096.4	1.5	352.9	1.5	14,770	1.4	1.1
Delaware	310	0.3	214.2	0.3	56.7	0.2	2,924	0.3	0.3
Florida	6,514	5.6	4,163.1	5.5	1,090.5	4.6	56,792	5.3	7.0
Georgia	3,007	2.6	1,921.4	2.6	572.9	2.4	29,737	2.8	3.3
Hawaii	714	0.6	551.1	0.7	110.3	0.5	6,736	0.6	0.4
Idaho	830	0.7	427.5	0.6	118.4	0.5	8,143	0.8	0.6
Illinois	3,476	3.0	2,545.2	3.4	945.5	4.0	38,278	3.6	3.7
Indiana	1,700	1.5	991.7	1.3	292.8	1.2	16,677	1.6	2.0
Iowa	1,023	0.9	467.4	0.6	133.1	0.6	9,451	0.9	0.9
Kansas	979	0.8	466.9	0.6	121.6	0.5	8,010	0.7	0.9
Kentucky	900	0.8	479.4	0.6	121.9	0.5	7,536	0.7	1.3
Louisiana	1,396	1.2	712.3	0.9	172.9	0.7	10,640	1.0	1.3
Maine	763	0.7	445.1	0.6	109.7	0.5	5,593	0.5	0.4
Maryland	1,440	1.2	1,128.9	1.5	369.3	1.6	16,387	1.5	1.8
Massachusetts	3,451	3.0	2,877.2	3.8	1,389.4	5.8	49,350	4.6	2.1
Michigan	2,165	1.9	1,096.5	1.5	390.7	1.6	19,828	1.9	3.0
Minnesota	1,394	1.2	881.3	1.2	283.8	1.2	15,018	1.4	1.7
Mississippi	896	0.8	292.5	0.4	65.1	0.3	5,602	0.5	0.9
Missouri	1,621	1.4	862.2	1.1	281.0	1.2	15,018	1.4	1.8
Montana	603	0.5	222.0	0.3	58.9	0.2	4,390	0.4	0.3
Nebraska	695	0.6	367.8	0.5	108.3	0.5	7,649	0.7	0.6

State	Establishments (Units)	Establishments (%)	Revenue (\$m)	Revenue (%)	Wages (\$m)	Wages (%)	Employment (k)	Employment (%)	Population (%)
Nevada	1,190	1.0	977.5	1.3	252.3	1.1	12,389	1.2	1.0
New Hampshire	701	0.6	486.5	0.6	133.4	0.6	6,320	0.6	0.4
New Jersey	3,871	3.3	2,308.9	3.1	721.2	3.0	29,758	2.8	2.8
New Mexico	660	0.6	367.7	0.5	89.9	0.4	5,826	0.5	0.6
New York	10,076	8.7	6,923.4	9.2	2,255.4	9.5	75,161	7.0	5.8
North Carolina	3,296	2.8	1,666.9	2.2	562.7	2.4	31,183	2.9	3.3
North Dakota	340	0.3	138.6	0.2	33.3	0.1	2,410	0.2	0.2
Ohio	3,203	2.8	1,719.8	2.3	579.2	2.4	32,605	3.0	3.5
Oklahoma	1,098	0.9	642.7	0.9	139.0	0.6	8,984	0.8	1.2
Oregon	2,269	2.0	1,475.9	2.0	526.1	2.2	22,782	2.1	1.2
Pennsylvania	3,856	3.3	2,194.9	2.9	647.0	2.7	34,285	3.2	3.8
Rhode Island	615	0.5	476.0	0.6	121.5	0.5	6,256	0.6	0.3
South Carolina	1,169	1.0	715.8	1.0	197.4	0.8	11,918	1.1	1.6
South Dakota	404	0.3	156.7	0.2	38.0	0.2	3,151	0.3	0.3
Tennessee	2,156	1.9	1,351.2	1.8	389.1	1.6	20,970	2.0	2.1
Texas	9,179	7.9	6,217.3	8.3	1,406.7	5.9	68,799	6.4	9.4
Utah	1,298	1.1	693.9	0.9	218.5	0.9	14,043	1.3	1.0
Vermont	222	0.2	120.5	0.2	32.2	0.1	1,741	0.2	0.2
Virginia	2,041	1.8	1,381.6	1.8	373.4	1.6	19,990	1.9	2.6
Washington	4,261	3.7	2,732.0	3.6	1,025.7	4.3	37,866	3.5	2.3
West Virginia	336	0.3	144.1	0.2	30.3	0.1	2,615	0.2	0.5
Wisconsin	1,745	1.5	849.3	1.1	285.6	1.2	15,033	1.4	1.7
Wyoming	263	0.2	94.4	0.1	23.3	0.1	1,689	0.2	0.2

Where are businesses located?

The West region contains the highest number of coffee and snack stores

- Coffee shops' revenue increases with the proliferation of tourism in the Western region, accounting for 23.8% of total coffee and snack shops in the US. Places like the Golden Gate Bridge, Disneyland and Yosemite National Park attract a steady stream of local and international visitors who contribute to the profitability of such enterprises by offering a captive audience in need of convenient refreshments. As tourists flock to the area, many hanker for authentic local experiences found in neighborhood coffee shops, expanding their customer base significantly. Besides food and drink, coffee shops in tourist areas cleverly increase earnings by selling souvenirs or local merchandise. This serves dual purposes as tourists can take back mementos of their travel, while the cafes secure an additional revenue source.
- At the state level, California, known for its large population and penchant for health trends like juice cleanses and cold brew coffee, is a lucrative market for the coffee and snack shop industry. The state's orientation towards health-conscious living fuels a robust demand for these businesses. Further, the state's significant commuter population is vital to these businesses' success. The industry benefits from the many people requiring on-the-go meal options due to their hectic lifestyles. The industry satisfies this demand, making California a hotspot for these businesses.
- With nearly 3,000 coffee shops, San Francisco and Los Angeles lead California's impressive coffee culture. These cities' high population density and cultural diversity have created an environment conducive to the burgeoning coffee and snack shop industry. California's emphasis

on sustainable and direct trade practices shapes its coffee scene.

- The rise in coffee establishments in Los Angeles and San Francisco reflects residents' growing sophistication in coffee preferences and concern for environmental impact. Many modern coffee shops also serve as common points for technology, business, and art, playing a crucial role in their city's social fabric. They reflect the cities' unique traits, with San Francisco's tech-driven spirit and Los Angeles's creative influences.
- Renowned for their coffee cultures, Seattle and Portland are the epicenters of coffee and snack shop businesses in the West. These cities, characterized by their vibrant urban life and large populations, offer an ideal environment for coffee businesses to flourish. Both cities have embraced a coffee culture that stems from their robust economies. The rise of tech corporations such as Amazon and Microsoft in Seattle and Nike and Intel in Portland has resulted in an influx of young professionals, many of whom frequent coffee shops for professional and personal engagements.
- Seattle, where Starbucks originated, ranks third in the US as one of the best coffee cities, according to WalletHub. It offers a vast selection of high-rated coffee shops and has the thirteenth-highest per capita offering of coffee shops providing free Wi-Fi. People in Seattle love coffee, searching for "coffee" on Google more than almost any other city. Moreover, the average Seattle local spends almost \$240 annually on coffee.

High foot traffic, diverse cultures fuel Southeast coffee and snack shop growth

- The Southeast region boasts the second-highest number of coffee and snack shops, with 19.2% of total. This can be primarily attributed to the region's population density, which is significantly higher than in other US regions. Therefore, the Southeast's position as a leader in the industry can also be traced back to its demographic structure. Higher population numbers mean more potential customers, thus generating more revenue and ensuring a thriving coffee and snack shop business environment.
- The Southeast is home to large metropolitan areas like Atlanta, Georgia; Miami, Florida; and Charlotte, North Carolina. The sizable customer base in these cities sees a high footfall, driving the demand for coffee and snack shops up.
- This area draws tourists with its warm weather, pristine beaches, and major attractions, such as Disney World. These tourists contribute substantially to the customer base of the coffee and snack shop businesses in the region.
- With a rich mix of cultures, the Southeast presents varied food preferences, shaping the region's diverse snack shop offerings. For instance, the strong Cuban influence in Miami has expanded the coffee and snack shop market.
- The Southeast region's climate also support higher coffee consumption. Cold weather often sees an increase in coffee consumption. It's a favorite way for people to warm up and stay cozy, spurring greater demand and making such shops more profitable in this region.

Coffee culture thrives in bustling Mid-Atlantic cities like New York City and Philadelphia

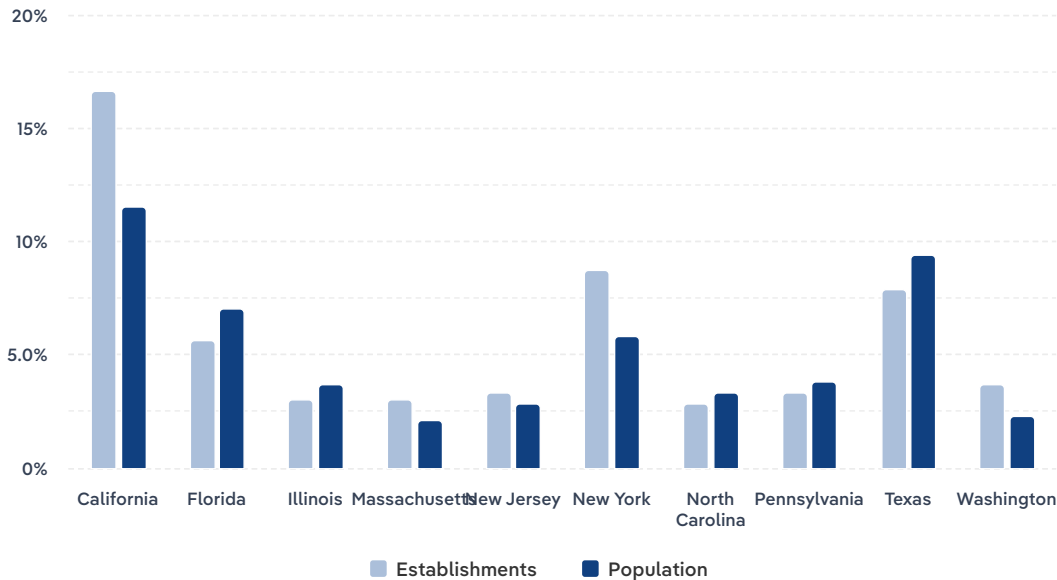
- The major urban centers of the Mid-Atlantic region, New York City and Philadelphia, are the epicenters of the coffee shop business. Their population density and incessant footfall provide ideal conditions for thriving coffee shops and snack outlets. These cities annually draw millions of visitors, amplifying the demand for such establishments. The pace of life in these cities necessitates quick-service establishments like coffee shops as inhabitants sandwich meals between professional commitments. Additionally, these outlets play a pivotal role as cultural melting pots, mirroring the region's ethnic diversity in their food and drink offerings.
- New York's long-standing coffee culture, traced back to the 17th century when Dutch colonists introduced coffee, continually evolved with the city and its people. Its world-class roasting scenes and groundbreaking cafes continue to shape specialty coffee trends, retaining dominance in the national coffee market.
- Coffee and snack shops can be spotted in almost every corner of New York City, reflecting the city's fast-paced lifestyle and diverse population. Their prevalence in the city is partly because New Yorkers and tourists rely on coffee shops for a quick caffeine fix and a place to meet, work, or take a break. New York's coffee scene caters to all caffeine cravings, from traditional Italian espresso bars and Middle Eastern cafes to specialty shops featuring third-wave coffees.
- The importance of coffee in New York City is further underscored by annual whole-community events such as the NYC Coffee Festival, where new flavors are unveiled, brewing techniques are shared and local roasters are celebrated. This highlights coffee as an essential personal ritual for New Yorkers and a communal activity that unites the city. Overall, the Mid-Atlantic region accounts for 17.4% of total industry establishments.

Dallas-Fort Worth and Atlanta brew strong coffee culture in the Southwest

- Particularly in the South, Dallas-Fort Worth and Atlanta are standout hubs in terms of coffee and snack shop businesses. A combination of factors, including dense urban populations, tourism and rapidly developing local economies, deserves much credit for these vibrant coffee scenes. This region is expected to make up 12.1% of industry establishments.
- Dallas-Fort Worth and Atlanta are transforming into havens for creatives and tech entrepreneurs. This demographic is known for its coffee consumption, and this trend has bolstered the proliferation of cafes. These spaces serve as the new-age offices and meeting spots, further bolstering their popularity.

Business Concentration

Share of establishments (%) vs. share of population (%)



☆ Key Success Factors

How do businesses use location to their advantage?

Ability to franchise operations

Franchising in the United States and abroad is now a significant component of this industry and can provide significant support to owners.

Market research and understanding

Companies need to monitor market and consumer needs, wants and desires, particularly in relation to demand for healthy foods.

Competitive Forces

Key Takeaways

Low start-up costs result in a highly fragmented industry. New competitors can easily join via franchising, making the marketplace fiercely competitive.

Specialty coffee shops are cutting price wars by curating unique coffee blends. They utilize distinct roasting techniques and source beans from specific regions. Additionally, these outlets are tailoring their aesthetics and themes to attract more clients.

Concentration	Competition	Barriers to Entry
Low	High Increasing	Low Increasing
Substitutes	Buyer Power	Supplier Power
High Increasing	High Increasing	High Increasing

Concentration

What impacts the industry's market share concentration?

More than half of the industry is small-business shops

- Starbucks operates the largest US coffee shop network, with an estimated 30.0% share of industry revenue, giving it significant influence over pricing, product formats and digital service standards that smaller rivals often follow.? Likewise, Dunkin' holds roughly a quarter of the branded coffee shop market, reinforcing a two-firm leadership structure in which both brands' national advertising, loyalty programs and purchasing scale reinforce their dominance over local competitors.?
- Dunkin's heavily franchised system, with close to 10,000 US outlets, enables rapid expansion and dense market coverage, crowding local markets, leaving limited prime sites and reducing growth opportunities for non-franchise players.? High brand recognition, network effects in app-based loyalty programs and economies of scale in sourcing and marketing together raise effective entry barriers, even though regulatory and capital hurdles for opening an

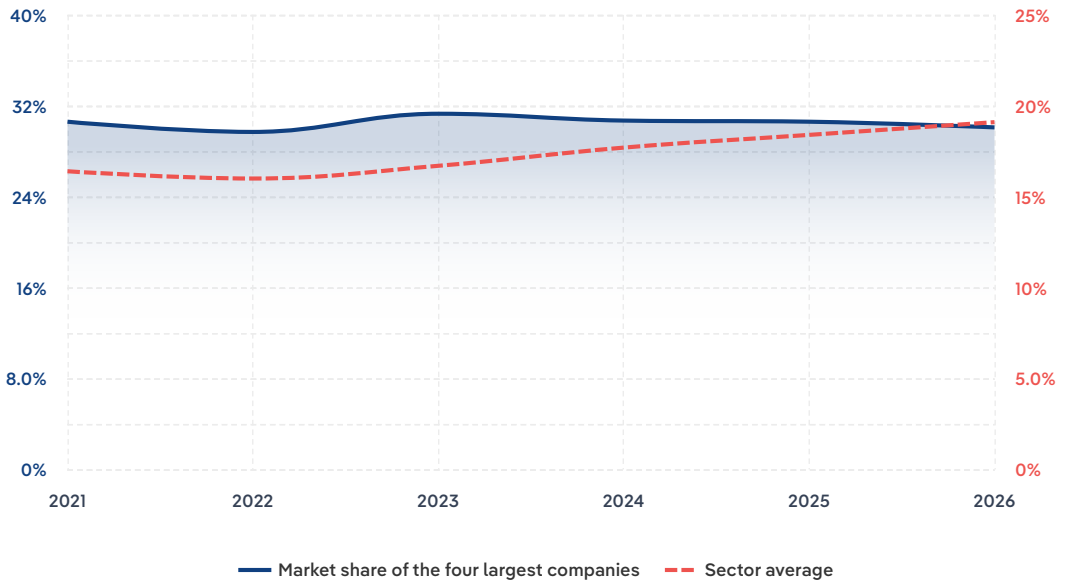
individual coffee shop remain relatively modest.?

Major industry shops increased acquisition activity

- Economies of scale allow multi-store stores to spread fixed costs, such as logistics, technology and management, over a larger revenue base, lowering average operating costs per outlet. These cost advantages make it harder for single-location or small-chain retailers to compete on price and assortment, encouraging further expansion by dominant chains.
- Consolidation through mergers, acquisitions and organic multi-store expansion shifts ownership toward multi-market retailers that control a growing share of local and national sales. The Evolution of US Retail Concentration study shows that most of the rise in concentration stems from large chains entering more markets and scaling existing stores, which concentrates market share even when many physical outlets remain.

Market Share Concentration

Combined market share of the four largest companies in this industry



☆ Key Success Factors

How do successful businesses handle concentration?

Develop a strong reputation

Well-established chains are known for their diverse selections and consistent quality.

Establish brand names

Although independent coffee shops are growing in popularity, major chains are still favored by most coffee enthusiasts.

Barriers to Entry

Low

Increasing

What challenges do potential industry entrants face?

Legal

- Potential entrants must navigate detailed franchise agreements that govern branding, operational standards, technology systems and training obligations, which can limit autonomy and increase compliance risk. Foodservice regulations, licensing and inspection requirements also add legal complexity, especially around health, safety and signage approvals at each outlet.

Start-Up Costs

- Franchised coffee shop entries often require franchise fees, build-out, equipment and working capital that can push total investment well above that of independent formats. Even when the parent company contributes design support, training, or systems, franchisees still face multi-year financial commitments and ongoing royalty and marketing payments.

Differentiation

- New stores must compete in a crowded market where product differentiation increasingly centers on bean origin, sustainability and quality

claims. Rare single-origin beans, fair-trade certifications and organic offerings now function as key positioning tools for niche shops, raising sourcing expectations for any entrant targeting premium consumers.

☆ Key Success Factors

How can potential entrants overcome barriers to entry?

Ability to franchise operations

Franchising in the United States and abroad is now a significant component of this industry and can greatly support owners.

Effective cost controls

Cost controls with minimal waste are important in this low-margin industry, particularly related to food inputs.

Having a clear market position

Having a clear market position against competitors in the limited-service industry and other food service operators is a necessity.

Market research and understanding

Companies need to monitor market and consumer needs, wants and desires, particularly in relation to demand for healthy foods.

Substitutes

High

Increasing

What are substitutes for industry services?

Street Vendors

- Street vendors have curated a new reality in the food industry. Offering snacks and nonalcoholic drinks, they station their vehicles in high-traffic areas to meet the client's convenience. This strategy captures passersby's attention and provides easy accessibility to foodstuffs.
- Street vendors capitalize on strategic positioning, significantly reducing travel time for their busy clientele. This locational advantage offers a competitive edge by aligning consumer convenience with easy accessibility.

Fast Food Restaurants

- Fast food chains represent a significant alternative to coffee and snack shops, providing portable food and beverage options. They strategically cater to consumers seeking quick, on-the-go meals and actively rival their coffee and snack industry counterparts.
- The lower prices fast food chains offer often pull customers away from independent coffee houses. Small independent shops may struggle to compete on pricing without the financial resources that larger companies possess.

Do it yourself

- Tight financial circumstances can prompt a trend toward homemade coffee and snacks. This shift toward a DIY mentality is typically initiated when customers seek to curb unnecessary expenditure, given the often high prices at local cafes and snack shops.
- Given the rise in popularity of at-home coffee machines and snack-making kitchen appliances, coffee and snack shops are progressively facing stiff competition. These home-based options may not fully replace the cafe experience but provide a more than satisfactory substitute for many budget-minded consumers.

☆ Key Success Factors

How do successful businesses compete with substitutes?

Closely monitor the competition

Coffee and snacks can easily be substituted by homemade coffee or those offered by fast food restaurants. Therefore, coffee and snack shops must stay alert to new food trends.

Having a clear market position

Having a clear market position against competitors in the limited-service industry and other food service operators is a necessity.

Buyer & Supplier Power

Supply Chain

Direct and indirect supplier and buyer industries related to this industry



What power do buyers and suppliers have over the industry?

High Increasing

Buyer: price competition elevates customers' bargaining power

- Buyers significantly influence coffee and snack shops' competitive strategies. Their preferences for premium coffee and attractive shop

atmospheres push these businesses to concentrate on the quality of their coffee beans and the aesthetics of their stores.

- Specialty coffee shops thrive amid lesser price warfare, catering to a niche clientele pool. These customers highly value the quality of the beverage and its roasting process, demonstrating a willingness to shell out a premium.

High

Increasing

Supplier: cost volatility hinders coffee and snack shops' bargaining power

- The success of coffee shops, especially those specializing in premium brews, hinges on access to a consistent supply of high-quality coffee beans. Adverse weather conditions in major coffee-producing regions worldwide can dramatically amplify supply instability. The resulting scarcity can give suppliers an advantage, tightening their grip on the industry while boosting costs.
- Suppliers have seen coffee prices swing in recent years, making it challenging to forecast. Increases in input costs cannot be straightforwardly passed through to menu prices, adding to suppliers' challenges amid industry competition.
- The 2025 tariff shock gives suppliers with tariff-exempt or low-tariff status (notably Mexican coffee under USMCA) a pricing and volume advantage over rivals, allowing them to command better contract terms and longer commitments from US buyers that are racing to re-source away from heavily taxed origins like Brazil, Vietnam and parts of the EU and Africa.
- Green coffee exporters facing steep new duties (50.0% on Brazil and double-digit rates for many others) can still exert power where their quality or profile is hard to substitute, forcing roasters to accept higher prices or reformulate blends, which then lock in more expensive menus at cafés.
- Ingredient and packaging suppliers in wheat, corn, cocoa, nuts and specialty fats can raise prices faster than downstream brands can push through list-price increases, driving shrinkflation and margin pressure for small snack and bakery shops that lack bargaining scale.
- Equipment and consumables vendors (espresso machines, grinders, packaging films, cleaning chemicals) gain negotiating power because tariffs lift replacement and import costs simultaneously, leaving independent coffee and snack retailers with limited options and little ability to switch without major capital outlays.
- In early 2026, due to the Middle East conflict, suppliers tied to fuel, freight and inputs are gaining leverage as conflict-driven oil and gas spikes ripple through supply chains. Rerouted shipping via the Cape of Good Hope adds 10 to 20 days to key lanes, tightening vessel availability and pushing up freight rates and bunker surcharges. These increases flow directly into landed costs for imported goods such as coffee, tea and cocoa. With few immediate alternatives to global shipping routes, retailers and distributors face limited negotiating power and must absorb or pass on higher costs.

☆ Key Success Factors

How do successful businesses manage buyer & supplier power?

Develop a loyal customer base

Coffee and snack shops thrive on regular, repeating customers. Building strong ties with local clientele means they are likely to become repeat customers, providing a reliable source of income.

Offer a competitively priced product

As there is a lot of competition in this industry, maintaining competitive pricing is crucial. Customers are always looking for a great deal. Therefore, a balance of quality and affordability could make a shop the preferred choice.

Companies

Key Takeaways

Small coffee shops face market entry challenges due to dominant national chains. These established giants monopolize the industry, creating steep operational hurdles for smaller, newcomer boutiques.

Small coffee and snack shops face steep costs. Their main expenses are wages and purchases, which are particularly challenging because they lack the buying power of big chains.

Market Share

Industry Market Share by Company

Industry-specific company revenue as a share of total industry revenue.



● Starbucks (\$22.7bn) 30.1% ○ Other Companies (\$52.8bn) 69.9%

This chart has been simplified for the PDF and may not display all available data. View the full interactive chart on my.ibisworld.com for additional data and detail.

Company	Market Share (%)	Employees	Locations	Company Type	Headquarters
Starbucks 	30.1	10,000+	1,186	Public	Seattle, Washington
Dutch Bros 	0–2.5	10,000+	998	Private	Grants Pass, Oregon
Baskin-Robbins 	0–2.5	1,001-5,000	2,265	Private	Quincy, Massachusetts
Dijuce Smoothies 	0–2.5	201-500	2	Private	Rosedale, New York
The Alley 	0–2.5	201-500	27	Private	Rowland Heights, California

Company	Market Share (%)	Employees	Locations	Company Type	Headquarters
Bruster's 	0-2.5	1,001-5,000	233	Private	Bridgewater, Pennsylvania
Better Buzz Coffee 	0-2.5	201-500	37	Private	San Diego, California
Cabpresso 	0-2.5	1,001-5,000	1	Private	-
Summer Moon Coffee 	0-2.5	201-500	66	Private	Driftwood, Texas
Kung Fu Tea 	0-2.5	501-1,000	412	Private	New York, New York
The White Moustache 	0-2.5	51-200	2	Private	New York, New York
Slow Boogie's 	0-2.5	51-200	1	Private	San Antonio, Texas
Tiger Sugar Seattle 	0-2.5	51-200	1	Private	-
Culture Cream 	0-2.5	51-200	1	Private	Hudson, New York
Blue Bottle Coffee 	0-2.5	1,001-5,000	1	Private	-
Carvel 	0-2.5	1,001-5,000	240	Private	Atlanta, Georgia
Gong Cha 	0-2.5	1,001-5,000	4	Private	Denver, Colorado
Gasoline Alley Coffee 	0-2.5	501-1,000	2	Private	New York, New York
Medzo Gelato Bar 	0-2.5	51-200	1	Private	Tacoma, Washington
Milk + Sugar 	0-2.5	201-500	4	Private	Houston, Texas

Company Details

Starbucks ☼

Description

Starbucks Corporation is an American company engaged in the specialty coffee industry, focusing on the ethical sourcing and roasting of arabica coffee. The company operates a global network of coffee stores and offers products such as coffee, tea, and spices. Starbucks also provides corporate gift card sales and branded solutions for business partners, and is certified under the EU-U.S. Data Privacy Framework and the Swiss-U.S. Data Privacy Framework.

Company Total Revenue (2026)

\$39.6bn

Industry Specific Revenue (2026)

\$22.7bn

Industry Market Share (2026)

30.1%

Employees (2026)

10,000+

Headquarters

Seattle, Washington

Company Type

Public

Locations (Top 10)

Albuquerque, New Mexico

Amarillo, Texas

Ames, Iowa

Apollo Beach, Florida

Aransas Pass, Texas

Arcola, Texas

Ashland, Virginia

Augusta, Georgia

Aurora, Illinois

Austintown, Ohio

Other Industries

Tea Production in the US

Manufacturing in the US

Coffee Production in the US

A Full Locations list can be accessed in Atlas.

What's impacting Starbucks's performance?

Expanding union presence raises long-term US labor costs and alters Starbucks' workforce dynamics

- Since late 2021, baristas at hundreds of Starbucks stores have voted to unionize, with more than 550 unionized locations and over 10,000 represented baristas across the United States by 2025. This growing union footprint directly increases wage bargaining power at the store level, making it more difficult for Starbucks to hold down unit labor costs in areas where union contracts are ultimately negotiated.
- For Starbucks, growing unionization introduces operational complexity, such as different contractual terms across stores, tighter rules on discipline and scheduling and formal grievance processes, potentially reducing short-term flexibility in matching labor hours to volatile demand. Over time, however, clearer standards on staffing and safety could reduce turnover and training costs, partially offsetting higher hourly pay. The balance between these effects will influence Starbucks' cost structure, pricing strategies and relative competitiveness in the US specialty coffee market.

Reusable cup access by 2025 underpins phased move away from disposable paper cups

- Starbucks has stated that it plans to phase out traditional disposable paper cups in the United States and Canada over time, replacing them with systems that prioritize reusables while maintaining customer convenience. Management has communicated that by the end of 2025, customers in these markets should have "easy access" to either a personal reusable cup option or a Starbucks-provided reusable to-go cup for every visit, including orders placed in-café, via drive-thru, or through mobile channels.
- Operationally, reducing reliance on single-use cups aligns with investments in eco-friendly store operations, logistics and energy use

intended to lower carbon and water footprints. As Starbucks implements reusable, higher-recycled-content packaging, it can reduce emissions associated with virgin material production and waste management, contributing to its 50.0% carbon-reduction goal by 2030. These measures could accelerate the adoption of reuse models and circular-economy practices across the industry.

Starbucks leverages EV charging to deepen store utility and customer engagement

- The announced collaboration integrates Mercedes-Benz High-Power Charging fast chargers at more than 100 Starbucks stores along a roughly 1,400-mile segment of Interstate 5 between Washington and California, using 400 kW DC chargers open to all EV brands. Locations are planned in core urban areas and charging "deserts," positioning these sites as predictable waypoints where drivers can combine a charging stop with a coffee purchase or break.
- For Starbucks, pairing high-power charging with its existing store footprint turns cafés into multi-purpose road hubs, lengthening dwell time and encouraging incremental food and beverage spending while customers wait for a 15-20-minute fast charge. This aligns with the company's broader strategy to expand access to chargers at or near up to 1,000 US cafes, supporting brand relevance as EV adoption rises and travel patterns shift toward electrified road trips.

Starbucks cafes reintroduce refills and self-serve condiment stations

- Starting in 2025, Starbucks cafes are giving customers a reason to linger longer with their reintroduction of refill services. Whether the order is hot or iced, coffee or tea, customers who are drinking their purchase in-store and using ceramic mugs, glasses, or cups qualify for this offer. Notably, this refill policy applies only to the patron's current visit and can't be used on a future occasion.
- In addition to bringing back refills, the company is enhancing the customer experience by resuming self-service at its condiment bars. This move means patrons at these cafes can again help themselves to sugar, creamer and milk, adding to the personalized experience the chain is known for.

Starbucks implements new policy that restricts facilities to customers only

- Starbucks has announced updated rules for its cafes. The new policy prohibits non-customers from using in-store amenities such as tables and restrooms. Visitors are also required to place an order before they can use Starbucks' facilities. The policy change applies to all company-owned Starbucks stores across North America, marking a significant shift from the brand's previously more inclusive 'open-door' approach. The move has been made to ensure that company resources are used only by paying customers, serving as a strategy to enhance the customer experience and manage resources effectively.

Starbucks pivots away from "Pickup-Only" stores to promote human interaction

- In a significant strategic shift, Starbucks will close its pickup-only stores in favor of locations that promise greater human interaction. These pickup-only locations, operational for approximately six years, focused on customers ordering through the app and collecting their orders without staff interaction. This move will begin in 2026 and will impact all Starbucks stores across the United States.
- Starbucks is not just saying goodbye to pickup-only stores but also undertaking comprehensive renovations of its traditional branches. The ubiquitous coffee chain is allocating roughly \$150,000 per store for improvements ranging from better lighting and furniture to a more effective layout. The aim of these renovations will be to make each location feel more welcoming and comfortable, aligning with Starbucks' mission to make its coffee stores a space where people can connect and feel at home.

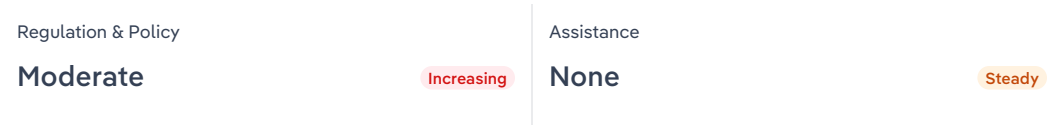
① You can view and download more company details on my.ibisworld.com.

External Environment

Key Takeaways

Coffee and snack shops must obey food preparation and labor rules. They're governed by strict beverage and food prep regulations and stringent labor laws.

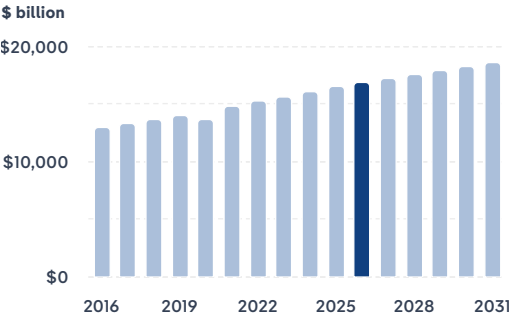
Health concerns may deter coffee and snack shop visits. Many shops, wary of losing customers to health trends, have introduced healthier options like salads and nuts into their menus.



External Drivers

What demographic and macroeconomic factors impact the industry?

Consumer spending

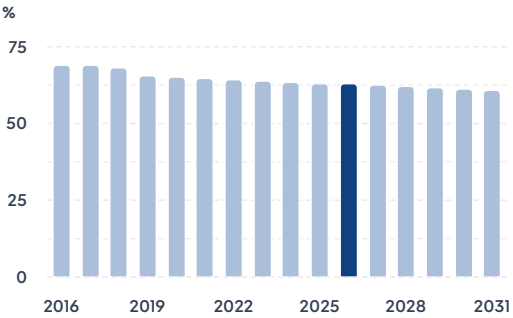


IBISWorld

Source: IBISWorld

Consumer spending is a significant influence on the industry. When overall consumer expenditures rise, it generates an uptick in patronage at snack and coffee shops. Conversely, when the spending slows, these establishments often report a downturn. This is a clear correlation, demonstrating that these vendors' fortunes are heavily tied to broader economic trends.

Healthy eating index



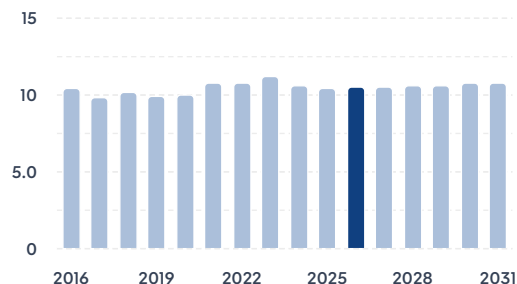
IBISWorld

Source: IBISWorld

Consumers' desire for high-fat snacks is falling as health consciousness rises. This increasing knowledge of health risks associated with fatty foods significantly influences coffee and snack shops. Demographics, particularly the younger generations, emphasize health and wellness. Meanwhile, macroeconomic conditions, like disposable income, also sway consumer dietary choices, underscoring the need for healthier snack alternatives.

Per capita coffee consumption

Pounds (lb)



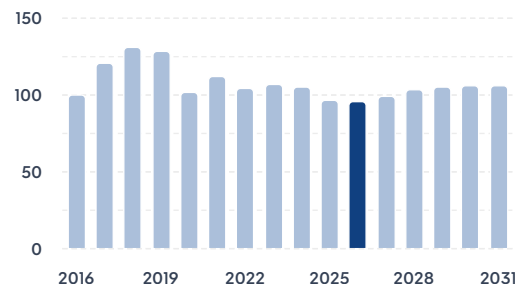
IBISWorld

Source: IBISWorld

Demographic changes and macroeconomic shifts significantly impact the industry. The prosperity of coffee and snack shops greatly relies on per capita coffee consumption, with rising per capita consumption signaling potential growth opportunities. When individuals consume more coffee, these businesses reap the rewards. Thus, an uptick in per capita coffee consumption represents a potential opportunity for the industry.

Consumer confidence index

Index



IBISWorld

Source: IBISWorld

Demographic and macroeconomic factors significantly influence the coffee and snack shops industry. One major element is the Consumer Confidence Index (CCI). When the CCI stagnates, consumers are cautious about their spending, often reducing their purchases of discretionary items like snacks and coffee. Thus, a decline in the CCI poses a potential threat to the industry.

Regulation & Policy

Moderate

Increasing

What regulations impact the industry?

The US Food and Drug Administration (FDA)

The FDA's Model Food Code is a nonbinding, science-based guideline that shapes how retail and foodservice businesses handle, store and present food, including restaurants, grocery stores, vending operations, hospitals and nursing homes. It serves as a template that state, local, tribal, and territorial regulators adopt or adapt into their own enforceable food safety rules, thereby indirectly governing day-to-day practices across much of the hospitality and retail food industry. The code is updated on a four-year cycle, with interim supplements issued as needed, allowing regulators and businesses to respond to emerging risks such as new pathogens or changing consumer trends. For example, recent editions have affected how deli counters control temperatures, how restaurants manage allergen information and how convenience stores handle ready-to-eat foods.

Fair Labor Standards Act minimum wage

Coffee shops in the United States are subject to the Fair Labor Standards Act (FLSA), which requires covered, nonexempt employees to receive a federal minimum wage of \$7.25 per hour, a rate that's remained unchanged since 2009. Many coffee shops employ young or entry-level workers, so wage compliance is a central cost and legal issue. States and some cities impose higher minimums and employers must pay the highest applicable rate, meaning a shop in Washington State or Virginia faces substantially higher base pay than a similar business in a state that follows only the federal floor. In practice, a café in Seattle or Washington, D.C., may pay double the federal rate, which compresses profit and often prompts higher menu prices or leaner staffing.

Franchising laws

Franchising in the United States is governed by a layered framework of federal and state regulations that aim to protect prospective franchisees and standardize key aspects of franchise sales. At the federal level, the Federal Trade Commission's Franchise Rule requires franchisors nationwide to provide a detailed Franchise Disclosure Document (FDD) with 23 categories of information before any sale, setting a baseline for transparency in all 50 states. States then add their own rules, which vary widely: some, such as California and Virginia, require formal registration and annual renewal of FDDs, while others impose lighter filing obligations or rely only on federal law. These state regimes can also regulate the ongoing franchisor-franchisee relationship, including termination, renewal and transfer rights, which significantly affects how franchises operate on the ground.

Assistance

None

Steady

What assistance is available to this industry?

Government

Public support doesn't apply to the industry

The Coffee and Snack Shops industry does not receive any public assistance.

Non-government

The National Coffee Association

The National Coffee Association (NCA) supports the broader coffee retail and production markets by serving as the main trade body for the US coffee industry. It offers member companies market research, regulatory and trade issue alerts and technical resources that help guide business decisions across the supply chain. The NCA also runs networking events, including its annual convention and webinars, that connect roasters, importers, retailers and allied firms, strengthening commercial relationships in every segment of the industry. By combining education, advocacy and data-driven insights, the association helps coffee businesses respond to market shifts, policy changes and consumer trends more effectively. This role makes it a central source of structured support for companies operating anywhere along the coffee value chain.

The National Restaurant Association

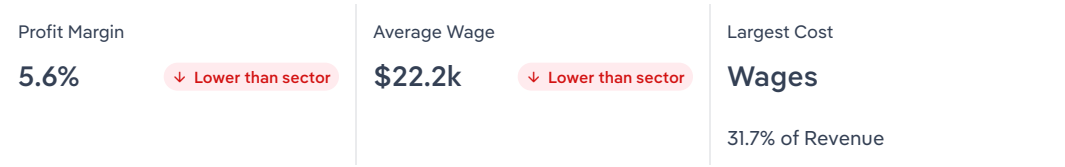
The National Restaurant Association offers policy advocacy, research, training and operational resources that span the entire food and beverage services sector, including, but not limited to, coffee and snack shops. Its work covers full-service and limited-service restaurants, catering operations and other commercial foodservice outlets, which together account for the majority of US "food away from home" spending. By focusing on regulatory issues, workforce development and business performance tools, the association aims to strengthen profitability and resilience across this wider hospitality landscape rather than a single niche segment. For coffee shops that started as coffee-and-snack formats, this broader scope can provide access to insights useful for expanding into full-menu, bar, or mixed foodservice concepts.

Financial Benchmarks

Key Takeaways

Rising competition and fluctuating costs impact profit. Inflationary pressures can also dampen profitability, indicative of the volatile nature of the market.

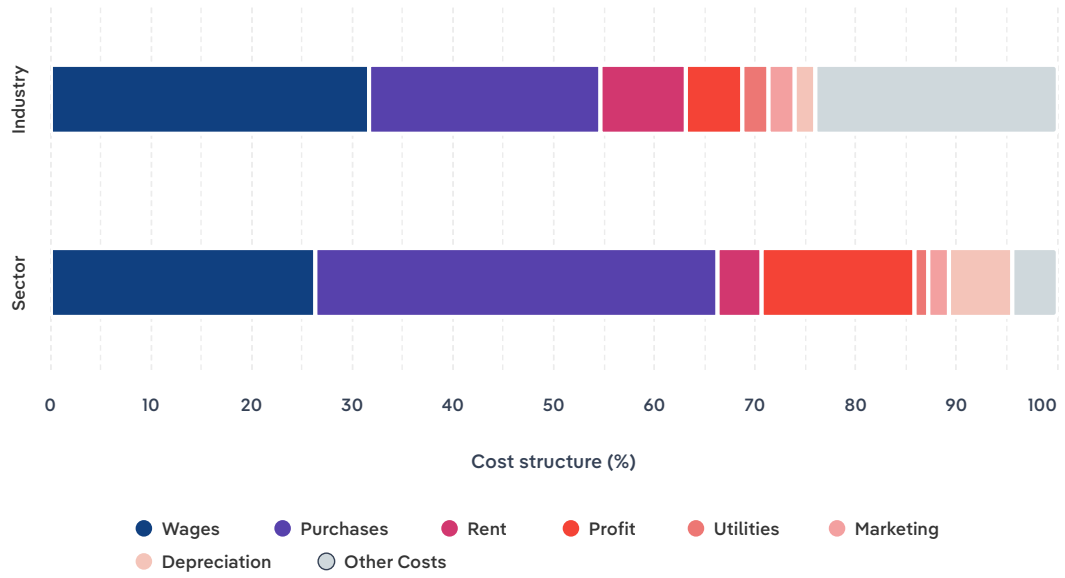
Coffee shop owners must manage unpredictable food and coffee costs. These volatile prices mandate close monitoring and timely menu adjustments to ensure budget stability.



Cost Structure

Cost Structure Benchmarks

Average operating costs by industry and sector as a share (%) of revenue 2026



What trends impact industry costs?

Minimum wage hikes drive operating cost in coffee shops

- Despite the increased adoption of technology, labor costs in the industry have grown over the past five years. In 2026, wages are expected to account for 31.7% of revenue. This is due to the significant expense of food preparation, cooking, serving and cleanup. In addition to wages, the labor costs include benefits such as health insurance, workers' compensation and unemployment insurance.
- In states like California and Washington, coffee companies like Starbucks face a surge in operating costs because of mandated minimum wage

increases. As a response, these retailers have increased their menu prices to counterbalance the additional labor expense. For instance, Seattle's new flat minimum wage of \$20.76, among the highest in the country, represents a steep increase from the present. This increases company costs, creating uncertainty among workers and owners over potential lost tips due to higher menu prices.

- A calculator by RAISE: High Road Restaurants, backed by economic data from UC Berkeley and Harvard, indicates how wage increases might affect menu pricing. An example given indicated that the price of a Starbucks Grande Caramel Frappuccino in Atlanta, GA could rise from \$4.25 to between \$4.35 and \$4.41 when barista wage is hiked to \$15.00 per hour. As menu prices continue to rise in response to increasing wages, it impacts the local economies and the national growth strategies of various retail businesses. For instance, price increases in California in response to the new minimum wage norms could potentially affect the expansion plans of Oregon-based Dutch Bros.
- While rising prices are unavoidable, some coffee shops find ways to make the price hikes' root causes more acceptable to customers. Embracing the concept of a living wage, Arkansas-based Onyx Coffee Lab became the first company in the state to be certified by Living Wage for Us. Companies like Onyx set an example for ethically responsible business practices despite the added weight to the overall operating costs by ensuring their workers receive pay that covers their basic cost of living.

Fluctuating weather conditions severely impact coffee bean pricing

- The cost of coffee beans has increased dramatically due to changing weather patterns. According to IBISWorld estimates, the producer price index (PPI) for coffee is expected to surge 8.0% over the five years to 2026. Likewise, The New York Times reports that coffee prices have been the highest in 50 years and have been affected significantly by a 30.0% increase since the start of late November 2024. Specifically, Brazil, the world's largest supplier of Arabica beans, experienced severe drought, destroying the harvest and threatening future production. Inclement weather conditions have caused a ripple effect on the production of the Robusta bean.
- Revenue earned from coffee sales is directly tied to the price of coffee beans, which has been steadily worsening. According to Brazilian research firm Cepea, coffee farmers are holding off on sales and banking on higher prices, an event mirrored by Vietnamese coffee sellers, as reported by Sudden Financial. This trend has led to a drastic increase in the cost of purchasing coffee beans for coffee and snack shops. Consequently, purchases have increased over the past five years, representing an expected 22.5% of revenue in 2026.
- According to Expertreviews, rapid inflation increased coffee costs by an ominous 23.0% between 2021 and 2024. As expenses on purchases swell, coffee shops are left grappling with higher operating costs and the threat of a diminishing customer base. Coincidentally, a consumer trend is emerging, and coffee consumption at home has seen a 10.0% surge since 2017. This move towards home brewing could signal an attempt to dodge steeper coffee shop prices.
- If coffee prices continue to surge, a substantial portion of the revenue earned by coffee and snack shops could be consumed by the cost of coffee bean purchases. These shops must strategize to maintain profitability, potentially resulting in altered product offerings, portion sizes, and menu prices.
- In 2026, rerouting away from the Strait of Hormuz due to the Middle East conflict adds 10 to 20 days to key trade lanes, tightening vessel supply and pushing up freight rates and bunker surcharges. These increases feed directly into higher landed costs for imported inputs such as coffee, tea, cocoa and snack ingredients. For US cafés and snack shops, distributors pass along these higher logistics costs through higher invoice prices on staples and packaged goods. Purchases are taking a larger share of revenue as operators absorb or partially pass on these increases.

High rent costs continue to challenge coffee brands

- As indicated by a Bank of America study, rent expenses have been increasing, particularly in the western United States. Average comparative data in May 2024 showed small businesses shouldering rent costs double the national average. Specifically, approximately 58.0% of small businesses have experienced a rent hike within the last six months. As a result, rent is expected to account for 8.6% of revenue.
- Major chains such as Starbucks and Dunkin's rent costs have historically been higher than those of other coffee chains due to their preference for premier locations. Despite challenges like inflation, their rental rates have continued to rise, reflecting the high land and construction expenses at these upscale locations. Conversely, smaller coffee chains, like Scooters and Dutch Bros Coffee, keep costs low by having smaller properties on average. With smaller properties come lower construction costs and, thereby, lower rents.
- These escalating rent costs are worrying for small businesses. If the trend toward rising rents continues, it could force some cafes and snack shops to close their doors or move to less desirable locations. In response, independent coffee shops are consolidating their operations. An interesting case is the 'Shops on 3rd' in Ankeny, where four distinct businesses, including a coffeehouse, have grouped to share rental costs. This single-venue shopping concept is an innovative approach to managing rent expenses.

High input costs and intense competition limits profit growth

- The industry is primarily characterized by fierce competition, which limits businesses' ability to generate substantial profit. This market is saturated with small, independent shops and larger chains like Starbucks. Multinational companies have the upper hand with economies of scale, which allows them to achieve high profit. Consequently, this added profit allows them to undercut prices, further intensifying competition.
- Product diversity also significantly influences market demand. The type of products a coffee shop offers directly influences its profit potential. Nonetheless, the industry faces high input costs, necessitating stringent cost controls to maintain profitability. The cut-throat competition forces businesses to maintain competitive prices, further squeezing their profit. Due to the surge in coffee prices, industry profit has declined over the past five years, falling to an estimated 5.6% of revenue in 2026.

Surging equipment prices require more frequent maintenance

- Essential coffee gear for US cafés, including commercial espresso machines, grinders, refrigerators and ovens, often requires initial outlays well above \$50,000, as a single reliable 1–2-group machine can cost from about \$5,000 to \$20,000. This pushes depreciation toward an estimated 2.1% of revenue in 2026. Rising purchase prices mean depreciation is claiming a slightly larger share of revenue even as sales grow. Coffee shops that delay upgrades face a trade-off between maintaining this share and preserving equipment performance.
- Maintenance, repair and eventual replacement increase overall purchasing expenses, but negligence regarding these costs risks disrupting operations and potentially compromising service quality. Coffee shops that invest in routine service reduce emergency breakdowns and avoid premature capital purchases that would push depreciation's revenue share higher. As owners learn from downtime losses, the industry trend points toward more structured maintenance schedules that keep depreciation growth closer to revenue growth rather than outpacing it.

Rising electricity costs further depress industry profit

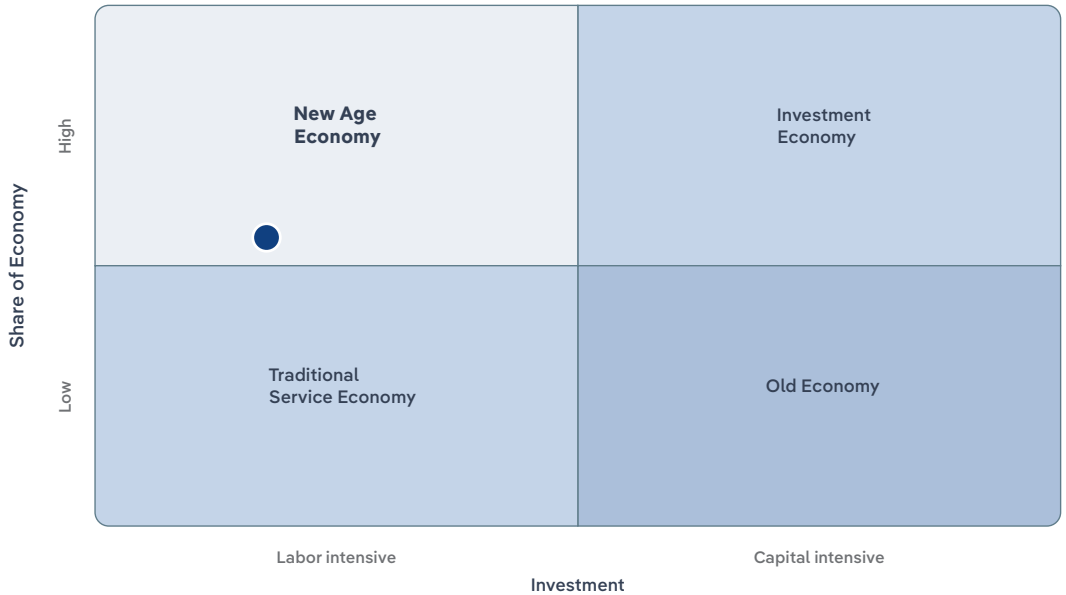
- According to CBS News' tracker, electricity costs have spiked from \$0.14 per kilowatt-hour in 2019 to \$0.18 in 2024, a notable increase of over 28.5%. Factors pushing electricity costs include volatile natural gas prices, wildfire risk, and transmission or distribution charges, as well as regulatory mandates and widespread inflation concerns.
- Berkeley Lab's Retail Electricity Price and Cost Trends report, covering 2001 to 2023, shows that retail commercial and industrial energy prices in top solar states have been rising at an average annual rate of around 2.5%. These changing energy costs impact coffee and snack shops' profit, reducing their revenue share. Notably, California is an exception, where the escalation rate sometimes exceeds 3.0% per year, posing additional profitability challenges for businesses operating in the state.
- According to the report, the top states report an average escalation rate of about 2.7% for commercial prices, putting extra pressure on businesses' bottom lines, including coffee and snack shops. Since utilities often account for 2.6% of revenue in 2026, rising electricity costs directly impact profit margin, reducing overall revenue share.

Dramatic uptick in marketing spend reflects shifts in the coffee industry dynamics

- In the face of advancing internet and social media capabilities, coffee companies are allocating a larger share of their budgets to marketing. The aim is to capture consumer attention within rapidly shrinking timeframes. For instance, big-name coffee retailer Starbucks saw its marketing costs almost double from 2020 to 2023, reportedly spending a colossal \$507.8 million in 2023. This trend reflects the intensifying competition in the coffee market and the growing importance of brand visibility.
- Tools such as Instagram are revolutionizing coffee industry marketing. Companies now have to craft appealing interiors and products that catch the eye instantly on social media feeds. This new facet of branding contributes to ramping up marketing costs, as more resources are invested into creating 'Instagrammable' products and spaces.
- The potential of social media as a cost-effective marketing platform can't be overstated. Crafting shareable content enables a brand to reach a broad audience at minimal cost. Yet the growing influence of coffee-related 'influencers' on these platforms also introduces a new marketing expense for companies that choose to leverage influencer partnerships. Collectively, marketing expenses are expected to account for 2.5% of revenue in 2026.

New Age Economy

Share of economy vs. Investment



Financial Ratios

Days' Receivables

57.1

↑ Higher than sector

Interest Coverage

1.3

↓ Lower than sector

Debt/Net Worth

6.8

↑ Higher than sector

Earnings Ratios

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
EBIT/Revenue	6.9	11.6	8.9	9.4	14.8	11.0	10.3	10.3
EBITDA/Revenue	9.7	14.2	13.3	15.7	19.0	16.0	14.4	13.6
Leverage Ratio	10.3	7.1	10.2	6.4	6.8	7.8	8.2	7.4

Income Statement

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Advertising	1.0	0.8	2.5	2.2	1.7	2.1	1.6	1.2
Amortization	1.2	0.9	3.2	3.2	0.7	2.4	1.8	1.4
Bad debts	0.1	0.1	0.3	0.2	0.1	0.2	0.1	0.2
Business receipts	95.9	95.6	90.6	94.6	95.9	93.7	94.5	94.9
Charitable contributions	0.3	0.2	0.1	0.3	0.1	0.2	0.2	0.2

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Compensation of officers	3.4	2.4	3.5	1.4	8.5	4.5	3.9	3.3
Cost of goods	48.8	52.0	43.0	41.3	34.5	39.6	43.9	47.8
Depletion	0.1	0.1	0.0	0.0	1.2	0.4	0.3	0.2
Depreciation	1.6	1.5	1.2	3.1	2.4	2.2	1.9	1.8
Dividends, domestic corporations	0.2	0.1	1.0	0.2	0.1	0.4	0.3	0.2
Employee benefit programs	2.1	1.6	2.7	1.7	4.2	2.9	2.5	2.1
Expenses	48.8	52.0	43.0	41.3	34.5	39.6	43.9	47.8
Gross Profit	51.2	48.0	57.0	58.7	65.5	60.4	56.1	52.2
Interest Income	0.0	0.4	0.8	1.1	1.4	1.1	0.8	0.7
Interest Paid	0.8	1.0	1.1	5.7	11.5	6.1	4.0	2.5
Net gain, noncapital assets	0.2	0.1	0.1	0.0	0.0	0.0	0.1	0.1
Net Income	4.7	9.5	5.2	0.8	0.8	2.2	4.2	6.1
Net L-T cap gain less net ST loss	0.0	0.3	0.2	0.9	0.4	0.5	0.4	0.3
Net loss, noncapital assets	0.3	0.2	0.6	0.9	0.4	0.6	0.5	0.4
Net S-T cap gain less net LT loss	0.3	0.3	0.6	0.6	0.2	0.5	0.4	0.4
Other deductions	16.5	15.2	15.5	14.3	14.1	14.6	15.1	15.1
Other receipts	2.1	2.1	2.1	0.8	0.5	1.1	1.5	1.8
Pension, profit sharing plans, stock, annuity	0.1	0.1	0.4	1.8	2.5	1.6	1.0	0.7
Rent Income	1.0	0.9	2.4	0.6	0.2	1.1	1.0	0.9
Rent paid	2.8	2.0	3.0	4.3	3.1	3.5	3.1	2.6
Repairs	0.6	0.6	0.7	1.9	0.8	1.2	0.9	0.7
Royalties	0.3	0.2	2.3	1.1	1.4	1.6	1.1	0.7
Salaries and wages	14.1	10.3	14.5	14.0	11.1	13.2	12.8	11.9
Sales/Fixed Assets	2.1	2.5	1.0	1.2	0.9	1.0	1.6	2.3
Taxes paid	1.4	1.2	2.6	3.0	2.5	2.7	2.1	1.7
Total Revenue	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0

Balance Sheet

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Accounts payable	12.6	10.5	11.7	13.2	14.0	13.0	12.4	10.1
Accumulated amortization	4.2	1.6	6.5	6.5	4.7	5.9	4.7	3.6
Accumulated depletion	0.0	0.0	0.0	0.1	0.1	0.0	0.0	0.0
Accumulated depreciation	5.5	6.4	17.0	21.5	23.7	20.7	14.8	10.9
Additional paid-in capital	33.8	29.5	25.2	26.9	15.5	22.5	26.2	30.2
Allowance for bad debts	2.2	2.0	0.0	1.1	1.1	0.7	1.3	1.5

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Capital stock	5.8	4.6	-2.9	0.8	-3.0	-1.7	1.1	3.1
Cash and Equivalents	9.3	11.3	6.3	6.7	5.7	6.2	7.9	7.6
Cost of treasury stock	11.7	0.8	12.0	9.4	8.7	10.0	8.5	8.2
Current Assets	42.5	49.3	54.7	58.8	59.2	57.6	52.9	47.0
Current Liabilities	20.0	19.3	42.7	38.7	37.2	39.5	31.6	28.6
Depletable assets	0.0	0.0	2.2	1.4	0.5	1.4	0.8	0.4
Government Obligations	2.9	2.6	0.3	1.3	0.8	0.8	1.6	2.2
Intangible assets (Amortizable)	20.9	17.5	18.6	20.6	16.9	18.7	18.9	17.8
Inventories	17.7	24.1	31.9	29.0	29.6	30.1	26.4	23.4
Land	4.8	4.5	3.4	4.9	4.1	4.1	4.4	5.3
Loans from shareholders	21.3	21.0	11.3	14.4	11.5	12.4	15.9	17.0
Loans to shareholders	5.8	6.8	0.8	1.9	1.9	1.5	3.4	5.1
Mort, notes, and bonds under 1 yr	3.9	5.4	14.8	13.7	14.3	14.3	10.4	9.6
Mort, notes, bonds, 1 yr or more	12.8	10.0	10.8	22.5	27.7	20.3	16.8	15.7
Mortgage and real estate loans	2.2	2.0	0.1	0.1	1.0	0.4	1.1	1.7
Net worth	33.1	36.1	15.6	16.9	14.8	15.8	23.3	27.7
Notes and accounts receivable	3.3	2.8	10.5	13.9	15.6	13.3	9.2	6.5
Other assets	10.7	12.0	11.4	5.2	5.6	7.4	9.0	8.0
Other current assets	7.1	6.5	5.2	4.7	4.9	4.9	5.7	5.3
Other current liabilities	3.5	3.4	16.3	11.7	8.9	12.3	8.8	9.0
Other investments	15.9	10.2	7.9	7.9	7.0	7.6	9.8	13.0
Other liabilities	12.9	13.6	19.6	7.6	8.9	12.0	12.5	10.9
Property, Plant and Equipment	11.4	9.7	24.5	29.3	34.4	29.4	21.9	19.5
Retained earnings, appropriated	-1.9	-3.1	-5.2	-5.2	-2.3	-4.2	-3.5	-3.2
Retained earnings- unappropriated	7.1	5.9	10.5	3.9	13.3	9.2	8.1	5.9
Tax Exempt Securities	0.0	0.0	0.5	2.2	1.6	1.4	0.9	0.4
Total assets	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0
Total liabilities	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0

Liquidity Ratios

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Current Ratio	2.1	2.6	1.3	1.5	1.6	1.5	1.8	1.7
Days' Inventory	132.2	169.1	366.8	255.8	407.2	343.3	266.2	183.1

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Days' Payables	94.1	73.5	134.5	116.7	192.5	147.9	122.3	80.2
Days' Receivables	12.2	10.2	38.3	50.8	57.1	48.7	33.7	21.8
Inventory Turnover	2.8	2.2	1.0	1.4	0.9	1.1	1.7	2.8
Payables Turnover	3.9	5.0	2.7	3.1	1.9	2.6	3.3	6.7
Quick Ratio	1.2	1.3	0.5	0.8	0.8	0.7	0.9	0.9
Sales/Receivables	30.1	35.7	9.5	7.2	6.4	7.7	17.8	31.6
Sales/Working Capital	4.3	3.2	8.9	4.7	4.4	6.0	5.1	8.2

Coverage Ratios

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Debt Service Coverage Ratio	2.5	2.6	9.5	6.8	11.0	9.1	6.5	4.4
Interest Coverage	8.5	11.9	8.1	1.7	1.3	3.7	6.3	9.4

Leverage Ratios

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Debt/Net Worth	3.0	2.8	6.4	5.9	6.8	6.4	5.0	4.1
Fixed Assets/Net Worth	1.4	1.1	4.6	5.0	5.7	5.1	3.6	2.6
Tangible Net Worth	33.1	36.1	15.6	16.9	14.8	15.8	23.3	27.7

Operating Ratios

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
EBIT/Revenue	6.9	11.6	8.9	9.4	14.8	11.0	10.3	10.3
EBITDA/Revenue	9.7	14.2	13.3	15.7	19.0	16.0	14.4	13.6
Return on Assets, %	6.9	11.6	8.9	9.4	14.8	11.0	10.3	12.9
Sales/Total Assets	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.2

Cash Flow & Debt Service Ratios (% of sales)

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Cash after Operations	10.3	27.7	28.3	50.8	18.7	32.6	27.2	29.6
Cash from Trading	41.5	43.2	40.8	84.3	43.3	56.1	50.6	49.9
Debt Service P&I Coverage	2.1	3.3	0.5	2.7	0.7	1.3	1.9	2.7
Interest Coverage (Operating Cash)	19.8	27.7	10.7	11.5	2.0	8.1	14.3	25.1
Net Cash after Operations	16.1	27.2	11.7	65.0	22.6	33.1	28.5	29.6

Industry Tax Structure

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Taxes Paid/Revenue	1.4	1.2	2.6	3.0	2.5	2.7	2.1	1.7

Valuation Multiples

Earnings Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
EV/Revenue	0.6	0.6	0.5	0.6	0.6	0.6	0.6	0.6
EV/EBITDA	3.2	2.2	1.7	1.9	1.9	1.9	2.2	2.6
EV/EBIT	4.5	2.6	2.6	3.2	2.6	2.8	3.1	3.8

Key Ratios

Year	Revenue per Employee (\$k)	Revenue per Enterprise (\$k)	Employees per Establishment (Units)	Employees per Enterprise (Units)	Average Wage (\$k)	Wages/Revenue (%)	Establishments per Enterprise (Units)	IVA/Revenue (%)
2007	73.5	915.8	9.3	12.5	18.0	24.5	1.3	35.5
2008	72.5	984.3	9.9	13.6	17.8	24.5	1.4	34.9
2009	73.1	957.3	9.6	13.1	18.0	24.6	1.4	35.2
2010	79.2	954.4	9.0	12.1	19.5	24.6	1.3	38.1
2011	80.1	964.1	9.0	12.0	19.7	24.6	1.3	38.9
2012	79.6	960.8	9.0	12.1	19.6	24.6	1.3	31.2
2013	75.0	913.9	9.2	12.2	20.0	26.6	1.3	33.8
2014	73.3	912.6	9.4	12.5	19.7	26.9	1.3	35.1
2015	73.0	926.5	9.6	12.7	20.2	27.7	1.3	35.4
2016	70.5	904.4	9.8	12.8	20.6	29.2	1.3	36.8
2017	69.3	869.3	9.6	12.5	20.4	29.4	1.3	39.3
2018	74.2	866.7	9.3	11.7	20.6	27.8	1.3	36.3
2019	77.5	891.6	9.2	11.5	20.8	26.9	1.3	44.6
2020	64.0	823.8	10.2	12.9	19.0	29.7	1.3	41.9
2021	80.5	934.0	9.3	11.6	21.5	26.7	1.2	35.9
2022	80.0	913.6	9.2	11.4	22.3	27.9	1.2	38.0
2023	73.2	872.2	9.6	11.9	22.4	30.6	1.3	40.3
2024	72.3	848.1	9.5	11.7	22.4	30.9	1.2	39.1
2025	71.5	828.9	9.4	11.6	22.3	31.2	1.2	38.4
2026	70.2	799.9	9.2	11.4	22.2	31.7	1.2	39.3
2027	69.1	775.0	9.1	11.2	22.2	32.1	1.2	40.0
2028	68.2	750.6	8.9	11.0	22.1	32.4	1.2	40.4
2029	67.3	730.1	8.8	10.8	22.0	32.7	1.2	40.7
2030	66.7	715.5	8.7	10.7	22.0	33.0	1.2	40.9
2031	66.4	704.5	8.7	10.6	22.0	33.1	1.2	41.0
2032	66.1	694.1	8.6	10.5	22.0	33.2	1.2	41.2

Key Statistics

Industry Data

Values

Year	Revenue (\$m)	IVA (\$m)	Establishments (Units)	Enterprises (Units)	Employment (Units)	Wages (\$m)
2007	36,864.8	13,094.2	54,040	40,253	501,412	9,035.9
2008	40,491.0	14,126.0	56,512	41,135	558,567	9,934.9
2009	39,420.6	13,860.0	56,269	41,180	539,094	9,682.3
2010	40,564.3	15,469.9	57,148	42,502	512,054	9,973.5
2011	42,371.7	16,482.8	58,700	43,948	529,108	10,428.8
2012	43,495.0	13,563.5	60,397	45,269	546,123	10,716.4
2013	43,970.4	14,868.9	63,879	48,115	586,363	11,715.1
2014	46,318.8	16,264.5	67,075	50,757	631,941	12,470.5
2015	48,952.7	17,314.3	69,589	52,837	670,795	13,563.8
2016	50,554.4	18,622.3	72,886	55,901	717,270	14,740.1
2017	51,136.6	20,118.3	76,724	58,826	737,517	15,022.4
2018	53,784.9	19,531.2	78,256	62,059	724,961	14,923.2
2019	58,307.7	26,007.0	81,989	65,395	752,139	15,679.4
2020	54,136.5	22,690.9	82,807	65,715	845,233	16,069.0
2021	66,718.4	23,954.7	88,747	71,432	829,269	17,828.5
2022	71,546.6	27,149.1	97,308	78,309	894,840	19,987.7
2023	73,627.2	29,689.1	105,114	84,418	1,005,557	22,543.5
2024	74,387.7	29,055.2	108,959	87,713	1,029,368	23,017.6
2025	75,598.5	29,029.0	113,055	91,199	1,057,503	23,595.9
2026	75,451.1	29,663.2	116,654	94,331	1,074,990	23,898.3
2027	75,619.3	30,233.5	120,401	97,570	1,094,859	24,262.3
2028	75,971.0	30,701.1	124,614	101,212	1,114,021	24,624.6
2029	76,434.5	31,080.1	128,655	104,685	1,135,074	25,026.9
2030	77,104.2	31,504.7	132,257	107,767	1,155,380	25,428.9
2031	77,815.6	31,915.4	135,393	110,449	1,171,887	25,766.5
2032	78,441.8	32,294.7	138,390	113,019	1,187,117	26,075.9

Annual Change

Year	Revenue (%)	IVA (%)	Establishments (%)	Enterprises (%)	Employment (%)	Wages (%)
2008	9.8	7.9	4.6	2.2	11.4	9.9
2009	-2.6	-1.9	-0.4	0.1	-3.5	-2.5
2010	2.9	11.6	1.6	3.2	-5.0	3.0
2011	4.5	6.5	2.7	3.4	3.3	4.6
2012	2.7	-17.7	2.9	3.0	3.2	2.8
2013	1.1	9.6	5.8	6.3	7.4	9.3
2014	5.3	9.4	5.0	5.5	7.8	6.4
2015	5.7	6.5	3.7	4.1	6.1	8.8
2016	3.3	7.6	4.7	5.8	6.9	8.7
2017	1.2	8.0	5.3	5.2	2.8	1.9
2018	5.2	-2.9	2.0	5.5	-1.7	-0.7
2019	8.4	33.2	4.8	5.4	3.7	5.1
2020	-7.2	-12.8	1.0	0.5	12.4	2.5
2021	23.2	5.6	7.2	8.7	-1.9	10.9
2022	7.2	13.3	9.6	9.6	7.9	12.1
2023	2.9	9.4	8.0	7.8	12.4	12.8
2024	1.0	-2.1	3.7	3.9	2.4	2.1
2025	1.6	-0.1	3.8	4.0	2.7	2.5
2026	-0.2	2.2	3.2	3.4	1.7	1.3
2027	0.2	1.9	3.2	3.4	1.8	1.5
2028	0.5	1.5	3.5	3.7	1.8	1.5
2029	0.6	1.2	3.2	3.4	1.9	1.6
2030	0.9	1.4	2.8	2.9	1.8	1.6
2031	0.9	1.3	2.4	2.5	1.4	1.3
2032	0.8	1.2	2.2	2.3	1.3	1.2

Figures are inflation adjusted to 2026-2027

Key Success Factors

Key Success Factors

How do successful businesses overcome volatility?

Alter goods and services produced in favor of market conditions

Coffee and snack shops need to monitor market and consumer needs, wants and desires, particularly about demand for healthy foods.

Having a clear market position

Having a clear market position against competitors in the limited-service industry and other food service operators is a necessity.

What products or services do successful businesses offer?

Alter goods and services produced in favor of market conditions

Coffee and snack shops must stay abreast of market trends and consumer preferences, such as demand for healthy food choices. This helps ensure business relevance and competitiveness.

Develop new products

In the competitive coffee and snack shop industry, differentiation is essential. Without it, these businesses may risk losing their clientele.

How do businesses use location to their advantage?

Ability to franchise operations

Franchising in the United States and abroad is now a significant component of this industry and can provide significant support to owners.

Market research and understanding

Companies need to monitor market and consumer needs, wants and desires, particularly in relation to demand for healthy foods.

How do successful businesses handle concentration?

Develop a strong reputation

Well-established chains is known for their diverse selections and consistent quality.

Establish brand names

Although independent coffee shops are growing in popularity, major chains are still favored by most coffee enthusiasts.

How can potential entrants overcome barriers to entry?

Ability to franchise operations

Franchising in the United States and abroad is now a significant component of this industry and can greatly support owners.

Effective cost controls

Cost controls with minimal waste are important in this low-margin industry, particularly related to food inputs.

Having a clear market position

Having a clear market position against competitors in the limited-service industry and other food service operators is a necessity.

Market research and understanding

Companies need to monitor market and consumer needs, wants and desires, particularly in relation to demand for healthy foods.

How do successful businesses compete with substitutes?

Closely monitor the competition

Coffee and snacks can easily be substituted by homemade coffee or those offered by fast food restaurants. Therefore, coffee and snack shops must stay alert to new food trends.

Having a clear market position

Having a clear market position against competitors in the limited-service industry and other food service operators is a necessity.

How do successful businesses manage buyer & supplier power?

Develop a loyal customer base

Coffee and snack shops thrive on regular, repeating customers. Building strong ties with local clientele means they are likely to become repeat customers, providing a reliable source of income.

Offer a competitively priced product

As there is a lot of competition in this industry, maintaining competitive pricing is crucial. Customers are always looking for a great deal. Therefore, a balance of quality and affordability could make a shop the preferred choice.

Call Preparation Questions

Role Specific Questions

Sales & Marketing

Many operators take to social media for their advertising needs. Does your company leverage social media platforms like Facebook or Twitter to inform and attract new customers?

- Operators that are able to leverage social media platforms to market their business tend to have success, especially amongst younger consumers.

How do review sites, such as Yelp and Google Reviews, impact sales?

- Yelp and Google Reviews tend to have a larger impact on smaller operations that do not have a well established national brand.
- These smaller operators rely on reviews to establish their local brand.

Strategy & Operations

Rent expenses are high for companies in the industry due to the need for locations in high-traffic areas with high visibility. This can include a location near the main thoroughfare or in a high foot traffic location. Is your company located in high-traffic areas to increase visibility?

- Establishments located in high-traffic areas tend to be more successful in the long run due to higher foot-traffic.

Has your company explored acquisition opportunities to expand your market share?

- As the industry becomes more concentrated, operators with enough capital to make acquisitions and expand market share will do well.
- The ability to acquire smaller operators helps establish economies of scale.

Technology

To remain competitive, most coffee shops offer more amenities than ever before, including perks such as free Wi-Fi. Does your establishment offer complimentary Wi-Fi to customers?

- Establishments that offer free Wi-Fi to customers are able to attract clients looking to get out of the house to study, work or get personal computer work done.

Multiple coffee shop chains have developed their mobile applications to make loyalty programs more accessible to consumers. Does your company leverage mobile ordering applications to streamline the booking process?

- Most larger industry operators offer mobile ordering through company based apps to help consumers skip the line and pay on their phone.
- Smaller operators typically do not have the economies of scale to make mobile ordering beneficial.

Compliance

Over the past five years, there has been an increasing trend for the major chain operators selling their company-operated stores to focus on franchising. The lower capital requirements and less risk associated with selling franchises have helped chains grow despite relatively flat sales. Is your company subject to any franchising laws?

- Establishments that function as franchises of major players such as Dunkin' Donuts or Starbucks are subject to franchise laws.
- There are both federal and state laws governing franchising, which vary from state to state

The industry employs a high number of young and low-skilled workers. Is your company compliant with the varying labor regulations across states?

- As most establishments are small local stores or franchises, franchisees or store owners typically only need to concern themselves with labor laws in the state that they function.

Finance

A major source of inefficiency is wastage due to fluctuations in demand, which may lead to an oversupply of meals or excess ingredients that cannot be used and subsequently spoil. How does your company's inventory turnover rate compare to your major competitors'?

- Companies that are located in high-traffic areas tend to have a higher inventory turn over due to their

How do your company's profit margins compare to your main competitors'?

- Larger companies tend to have higher profit margins due to their economies of scale; however, operators that offer high-end specialty products will also see higher profit margins.

External Impacts Questions

Healthy eating index

How has rising health-consciousness influenced demand for your shops? How are your new offerings faring with consumers?

- Despite long-term, aggregate declines in healthy eating, consumers are more aware of health issues associated with fatty foods and are increasingly going out of their way to avoid them.

Per capita coffee consumption

How do you monitor trends in coffee consumption? How can you better cater to changing consumer demands?

- Coffee shops account for a large portion of industry revenue and establishments, and most other industry establishments also serve coffee. When coffee consumption increases, coffee shops and other snack shops experience revenue growth.

Consumer spending

Do you monitor changes in consumer spending? Do you find that consumers spend more in your establishment when consumer spending rises?

- Factors that influence consumer spending also affect the industry. During periods of low economic growth, spikes in unemployment lead to consumption declines. However, when consumer spending is high, consumers are more likely to spend money at snack and coffee shops.

Internal Issues Questions

Ability to franchise operations

Are you part of a national chain? How can you compete with larger chains that have economies of scale and scope?

- Franchising in the United States and abroad is now a significant component of this industry and can provide significant support to owners.

Having a clear market position

Is your brand well-established? How can you improve your image in your local area?

- Having a clear market position against competitors in the limited-service industry and other food service operators is a necessity.

Market research and understanding

Do you engage in extensive market research? How do you anticipate and react to consumer trends?

- Companies need to monitor market and consumer needs, wants and desires, particularly in relation to demand for healthy foods.

IBISWorld helps you find the industry information you need - fast.

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